China Telecom Sector

Attractive shareholder returns, profit to resume growth in 2027E

China telecom operators' share price performance has been unexciting in 2026 (YTD CM-H +5% on its defensiveness, CT-H/CU-H -9%/-26% vs HSI -5%), mainly due to investor concerns regarding: 1) the VAT policy impact on net profit (all three companies delivered profit declines in 1H26), 2) potential hikes in AI/6G investment to weigh on profitability, and 3) the decline of legacy telecom revenue. We discuss these topics in this report, and we believe now is a good time to bottom-fish the sector: 1) we expect the big 3 telco operators to return to YoY positive profit growth in 2027E, driven by an acceleration of intelligence services (supported by AI), resilient legacy telco services (especially after anti-involution actions in 2026), and conservative opex & capex spending (total capex of the big 3 +4% in 1H26; we expect YoY capex declines in 2H26); 2) we believe the China telco operators' role as AI beneficiaries has not been noticed by investors (the big 3 telco operators are the largest data center providers in China) – both CM/CT aim to grow their intelligence service revenue by a mid-teens CAGR in 2026-30, as guided in their goals of the 15th Five-Year Plan; and 3) attractive shareholder returns – despite YoY profit declines, both CM/CT increased dividend payout ratios in 1H26. CM-H/CT-H currently have 6.7%/5.9% dividend yields, respectively. The big 3 all achieved strong FCF growth in 1H26 via enhancement of cash collection.

- **Order of preference among the H share names is CM-H > CT-H > CU-H:** Our order of preference is now based mainly on dividend yield, willingness to improve dividend payout, and earnings resilience. We prefer CM-H as it has the mildest impact from the VAT adjustment in 2026 (CM 1H26 NP only declined by 6% YoY, while revenue/NP achieved YoY growth excluding the VAT impact). It also offers the most positive dividend guidance among the big 3 (dividend payout ratio stable to up on a full-year basis), and its dividend yield is the highest among the big 3. CT-H ranks second as its 1H26 NP decline (-15%) is weaker than CM-H's, and it didn't provide guidance on the full-year dividend (its 1H26 dividend payout ratio improved by 3ppts YoY though). We rank CU-H third as its 1H26 profit decline is the widest (-35%, but CU guided the full-year profit decline will be much milder), and it didn't pay an interim dividend for the first time since 2021. However, we flag that CU-H's 2026E P/E is the lowest among the big 3 (8x). Its annual 2026 earnings will be a key event to watch (on dividend policy).

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001

Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com
SAC Registration Number: S1730523020001

Olivia Xu
(86-21) 6106 6138
olivia.w.xu@jpmorgan.com
SAC Registration Number: S1730525060001

Nancy Liu
(86 21) 6106 6343
nancy.liu@jpmorgan.com
SAC Registration Number: S1730524090001

J.P. Morgan Securities (China) Company Limited

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target End Date
China Mobile - H	941 HK	214,289	HKD	80.90	OW	n/c	100.00	Dec-27	n/c	Dec-26
China Mobile - A	600941 CH	13,555	CNY	100.49	OW	n/c	115.00	Dec-27	n/c	Dec-26
China Telecom - H	728 HK	8,382	HKD	4.74	OW	n/c	5.20	Dec-27	6.00	Dec-26
China Telecom - A	601728 CH	77,484	CNY	6.68	OW	n/c	7.00	Dec-27	7.20	Dec-26
China Unicom - H	762 HK	22,301	HKD	5.72	OW	n/c	8.00	Dec-27	9.00	Dec-26
China Unicom Network - A	600050 CH	20,555	CNY	4.40	OW	n/c	4.90	Dec-27	5.50	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 14 Oct 26.

See page 33 for analyst certification and important disclosures, including non-US analyst disclosures.

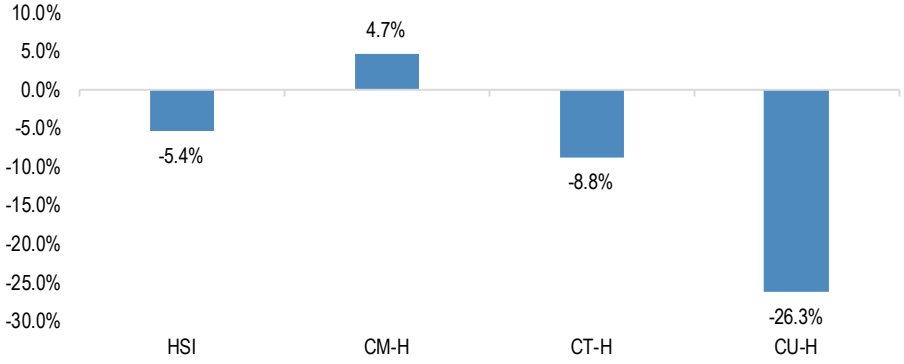
Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China telco operators have unexciting share price performance YTD, due to profit impact from VAT

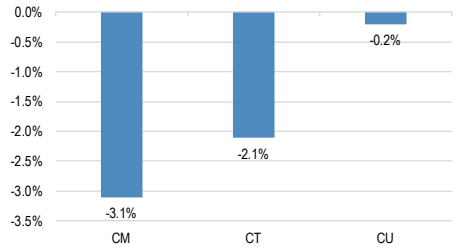
CM-H is the best performer among the big 3: Its share price has outperformed the HSI YTD, as it has the largest revenue size/highest margin among the big 3. Therefore, its impact from the VAT tax rate adjustment (from 6% to 9%, our note) is the mildest. CU-H is the worst performer among the big 3 due to its relatively large 1H26 profit impact from VAT and higher employee expenses (front-end loaded), and no interim dividend for 1H26.

Figure 1: Divergence in the big 3 telco operators' share price performance YTD



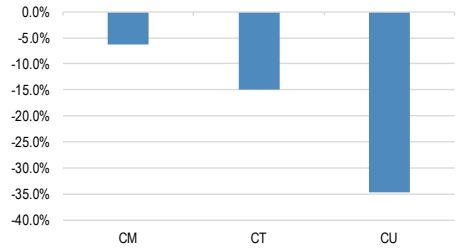
Source: Bloomberg Finance L.P. Data as of Oct 12 2026.

Figure 2: 1H26 service revenue YoY



Source: 1H26 company reports

Figure 3: 1H26 NP YoY



Source: 1H26 company reports

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

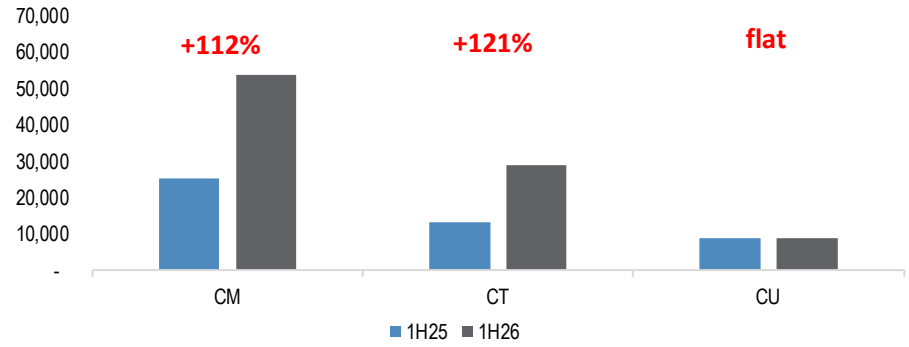
J.P.Morgan

OCF/FCF improved in 1H26, and we expect net profit to return to YoY positive growth in 2027

We believe the 'actual performance' of 1H26 financials of the big 3 telco operators is better than the headline net profit decline:

- **FCF improved substantially in 1H26 for CM/CT**, supported by the optimization of enterprise account receivables, and conservative capex spending (especially in the traditional telco segment).

Figure 4: CM/CT FCF improved substantially in 1H26 (Rmb mn)



Source: 1H26 company reports

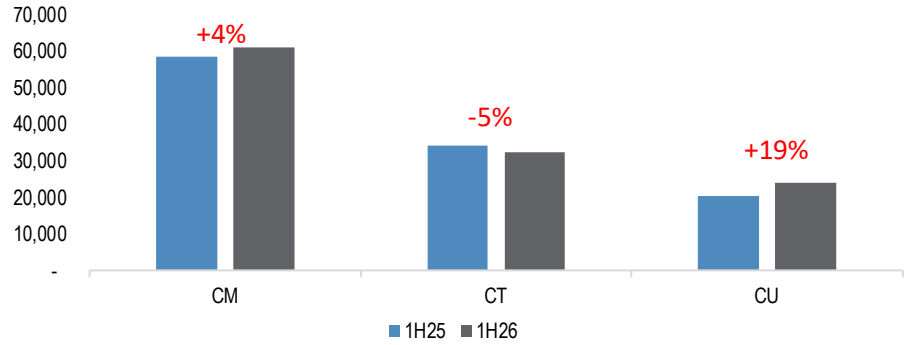
- **Stable financials excluding VAT impact:** CM indicated that both revenue and net profit increased YoY in 1H26 excluding the VAT impact, while CT also indicated 1H26 revenue was largely stable and net profit increased healthily in 1H26. Therefore, we expect the big 3's profit will resume YoY growth in 2027E.

Overall capex remains prudent, AI capex increased significantly

Overall capex in 1H26 for the big 3 +4% in 1H26, ahead of their full year schedule of YoY declines. This was mainly driven by AI investment: Combined AI capex in 1H26 for the big 3 reached Rmb47bn, +63% YoY. This is supported by strong AI demand: CM mentioned on their 1H26 earnings call that there is rich demand in AI compute power. CM's data center revenue was +13% in 1H26, while AIDC revenue was up near 5x. We expect such AI investment to turn into profit in the next five years (CM expects compute & intelligence service revenue to double by 2030E). We expect the big 3 to stay prudent on overall capex levels due to the optimization of traditional telco capex.

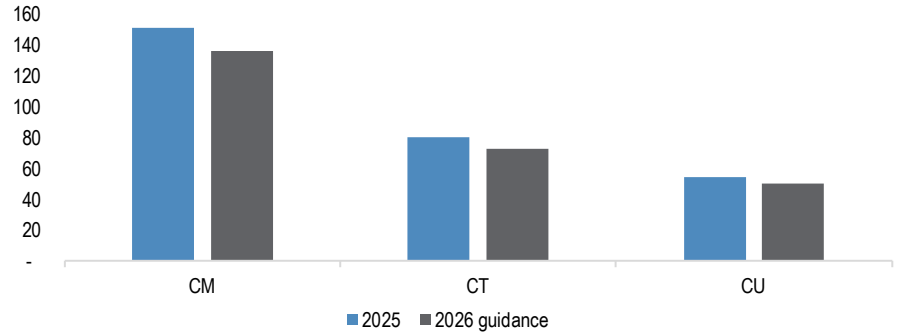
Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

Figure 5: Total capex in 1H26: front-end loaded (Rmb mn)



Source: FY25 and 1H26 company reports

Figure 6: Big 3 telcos guided 2026E capex to decline YoY (Rmb mn)



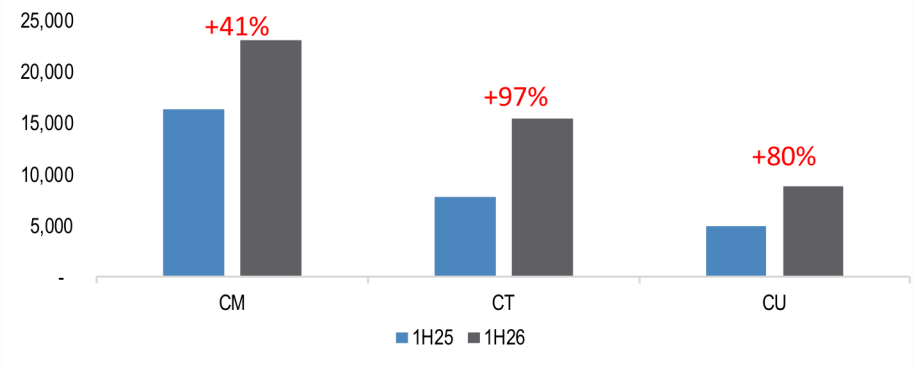
Source: FY25 and 1H26 company reports

AI capex a key focus in future years, but telco operators are not the only investors

Telecom operators are important, but not the sole investors in China's nationwide computing network build-out. The three major operators are expected to play a central role in building the network infrastructure, including backbone networks, high-speed optical transmission and inter-regional connectivity, while also investing in their own data centers and computing capacity. However, investment in computing infrastructure is designed to involve multiple market participants, including cloud service providers, local governments and SOEs, third-party data center operators, and technology companies. Therefore, the build-out of China's computing network should be viewed as a multi-party investment effort, with telecom operators serving as key infrastructure providers rather than the only source of capex. **Therefore, we don't expect meaningful margin impact from such AI investment.**

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

Figure 7: AI capex: significant increase in 1H26 (Rmb mn)



Source: FY25 and 1H26 company reports

More measured 6G investment pace vs 5G, positive for margin

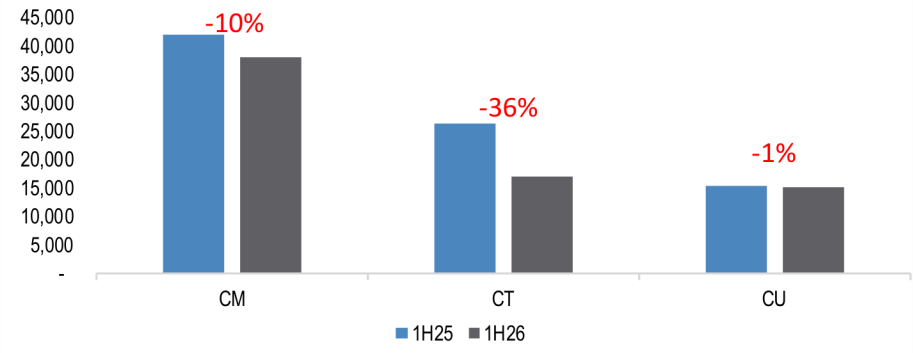
Compared with the 5G cycle, China's policy focus on 6G is more measured, focusing on R&D, trials and ecosystem development rather than an early large-scale capex push. And we notice traditional telco capex declined YoY in 1H26 and guidance for 2026 is consistent with this ongoing trend. Therefore, we expect lower D&A from traditional telco investment will remain a margin driver for the big 3 in the next several years.

Table 1: Comparing policy focus of 5G/6G investment in China

	5G	6G
Overall policy tone	Faster rollout and larger investment	R&D first, with a more measured rollout, No clear call for large-scale investment yet
Network rollout	Accelerate 5G network deployment	Prepare for 6G n
Coverage	Expand coverage rapidly	No large-scale coverage target yet
n	Accelerate commercial deployment	Launch n at an appropriate time
Policy focus	Build network capacity first	Technology trials, standards and ecosystem first
Capex implication	Sizable incremental capex	More disciplined / gradual capex ramp-up

Source: MIIT (website: www.miit.gov.cn), as of Oct 12 2026

Figure 8: Traditional telco capex declined on a YoY basis in 1H26 (Rmb mn)



Source: FY25 and 1H26 company reports

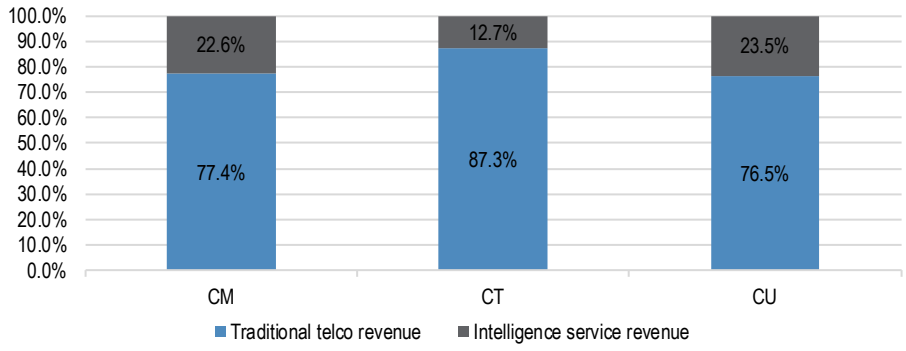
Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

AI is a key growth driver for big 3 in 2026-30E

Intelligence services (cloud, AIDC, token) are a key driver/major metric to watch since 2026: We note that the big 3 have all separately disclosed AI revenue since 1H26, growing at 10%+. The big 3 are China's largest data center operators in China and we note various cooperations between leading China internet companies and the big 3, supported by rising AI demand (cloud, in-house AI service, etc.). We expect AI to become a major revenue/profit driver in the next several years (both CM & CT mentioned intelligence services as a key growth driver for 26-30E), and the big 3 have distinctive value in enterprise client exposure (supported by their rich experience in telecom services) which is essential in enterprise AI monetization. **We note both CM & CT have announced sizable revenue growth targets for intelligent services for 2026-30 (compute power, AI LLM, etc.).**

- **China Mobile** is seeing strong growth in computing-related businesses, with its compute power service revenue rising 14% YoY to RMB52.9bn in 1H26, including 13% growth in data center revenue, 486% growth in AIDC revenue and 130% growth in intelligent computing services revenue. Looking longer term, China Mobile has positioned computing and intelligent services as its key new growth engines, **targeting a doubling of both computing services and intelligent services revenue by the end of the 15th Five-Year Plan (2030)**, which should steadily increase their contribution as traditional connectivity growth matures.
- **China Telecom** is also seeing strong momentum in computing and AI-related businesses, with intelligent service revenue +7% YoY, AIDC revenue growing 9.3% YoY and intelligent computing revenue surging 95% YoY. Intelligent service revenue now accounts for 12.8% of service revenue. **Looking to the 15th Five-Year Plan period, management targets intelligent services revenue to exceed 20% of principal business revenue by 2030**, highlighting AI and computing services as increasingly important growth drivers as the traditional connectivity business matures.
- **China Unicom** is seeing solid growth in computing-related businesses, with computing revenue reaching RMB41.9bn in 1H26, up 13% YoY and accounting for nearly one-quarter of service revenue. Within this, intelligent computing center revenue grew 11% YoY and intelligent computing services revenue increased 9% YoY.

Figure 9: The big 3 now have sizable intelligence service revenue (as of 1H26)



Source: 1H26 company reports

Table 2: Big 3 telco operators' major AIDC cooperation with external partners since 2025

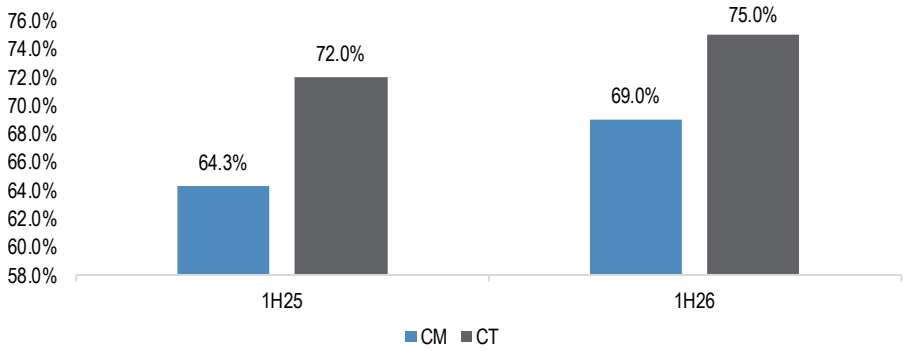
Telco operator / Partner	Project & Timeline	Telco's Role	Partner's Role	Project Scale & Status
China Unicom / Tencent	Zhongwei AI Cluster, Ningxia; first batch delivered on Apr 2, 2025	Builds and operates dedicated data center facilities, power, cooling and networks	AI computing partner and capacity user	Unicom's entire campus plans 310MW IT load, 120k standard racks and capacity for 280k GPU
China Telecom / Alibaba Cloud	Zhenwu AI Cluster, Shaoguan; launched Apr 3, 2026	Provides data center infrastructure and jointly develops computing services	Provides Zhenwu-based AI technology stack and jointly develops the cluster	10,000-chip-class AI cluster, operational
China Telecom / Huawei	Ascend AI Cluster, Shaoguan; launched Jul 9, 2026	Develops AI infrastructure and computing resources	Supplies Ascend 910C technology and SuperPoD systems	11,520 AI chips, 30 SuperPoDs, 9,000 PFLOPS Compute power
China Mobile / Alibaba Cloud	Hami AI Data Center, Xinjiang;	Leads Phase 1 data center infrastructure construction	AI data center project partner	10,000+ PFLOPS Compute power by the end of 2025

Source: China Unicom/China Telecom/China Mobile company websites. Date as of Oct 12 2026

Strong shareholder returns

Both CM/CT showed strong commitment to shareholder returns in 1H26: Both CM/CT increased dividend payout ratios in 1H26 (CM's DPS increased 6% YoY in HK$), despite YoY profit decline. CM also guided its full-year dividend payout ratio to see 'flat to positive growth'. We estimate CM-H/CT-H currently have 6.7%/5.9% dividend yields on 2026E, respectively.

Figure 10: CM/CT both increased dividend payout ratios in 1H26



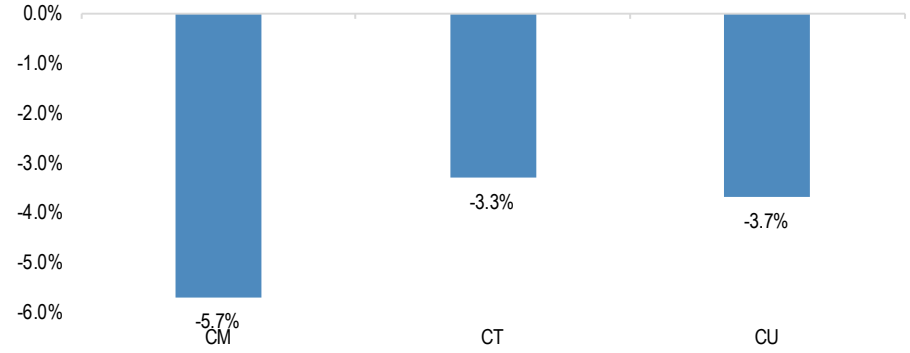
Source: FY25 and 1H26 company reports

Traditional telco: anti-involution initiatives sustain

- **Low-price plans are being phased out.** China's three major telecom operators have recently tightened the availability of heavily discounted mobile plans, particularly those distributed through third-party online channels. From August 2026, the operators stopped new SIM-card sales through third-party internet platforms, effectively removing an important distribution channel for ultra-low-price, high-data plans. Some operators have also discontinued selected discounted packages in their official channels. We believe these moves point to a more rational pricing environment, with operators becoming less aggressive in using deep discounts and channel subsidies to acquire subscribers.

- **Regulatory tone has also turned increasingly supportive of rational competition.** In recent months, telecom regulators have explicitly called for the sector to curb "involution-style" competition, resist irrational and low-price competition, and shift from price-based competition towards service quality and innovation. Regulators have also called for tighter oversight of distribution channels and changes to internal performance assessments, including reducing excessive emphasis on subscriber acquisition and market-share targets. Overall, the policy direction appears increasingly supportive of industry discipline and a healthier competitive environment, although the objective is to eliminate destructive competition rather than encourage outright tariff increases.

Figure 11: Traditional telco service revenue declined in 1H26



Source: 1H26 company reports

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Mobile - H

Most resilient China telco operator with highest dividend yield

CM is the largest telco operator in China, and we see it has the mildest impact from the VAT adjustment in 2026 (due to its substantially higher margin than peers), and its dividend yield of 6.9% in 2026E (based on JPMe) is the largest among the Big 3. While we forecast its profit to decline 7% YoY in 2026E (milder than -14%/-13% of CT-H/CU-H), we expect its profit to rebound 3%/4% in 2027E/28E on lower depreciation cost due to lower capex, and profit contribution from AI services, offsetting weak traditional telco services. CM has reiterated a stable to rising dividend payout ratio for 2026, and free cash flow to improve substantially. Therefore, we believe CM has a solid balance sheet/free cash flow to support future dividend payouts. A further rise in AI investment from enterprises (especially SOEs) could drive industrial internet revenue and profit upside for CM.

Forecast revisions: We cut 2026/27E revenue by 2%/3%, and cut net profit by 3%/1% due to lower revenue forecast for traditional telco service.

HK$100 PT unchanged. Our Dec-27 PT of HK$100 is based on 2027E DPS of HK$5.5 and a one-year forward dividend yield of 5.5% (prior basis: 2027E DPS of HK$5.4 and dividend yield of 5.4%), at a premium to the local market yield (HSI at 3.3%) given the relatively low earnings growth of CM.

Overweight

0941.HK,941 HK
Price (14 Oct 26): HK$80.90

Price Target (Dec-27): HK$100.00

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001
J.P. Morgan Securities (China) Company Limited

Style Exposure

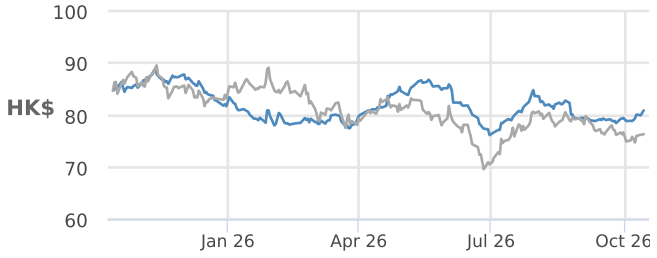
Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	8	10	10	9	5
Growth	84	53	22	40	58
Momentum	42	68	54	20	60
Quality	48	20	5	14	19
Low Vol	1	1	1	3	11

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-1.0%	2.2%	2.3%	-4.5%
Rel	7.2%	3.4%	1.3%	5.4%

Company Data

Shares O/S (mn)	20,788
52-week range (HK$)	88.90-75.55
Market cap ($ mn)	214,289
Exchange rate	7.85
Free float (%)	28.4%
3M ADV (mn)	11.89
3M ADV ($ mn)	122.5
Volatility (90 Day)	11
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	18|2|0

Key Metrics (FYE Dec)

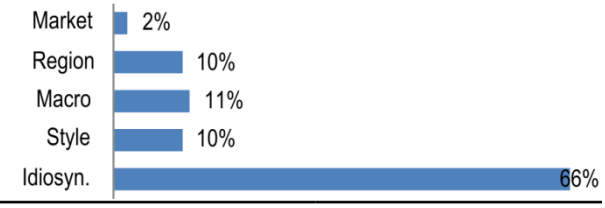
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	1,050,187	1,038,806	1,050,981	1,072,293
Adj. EBIT	148,932	131,498	135,306	141,441
Adj. EBITDA	338,931	321,706	326,859	331,670
Adj. net income	137,095	127,727	131,073	136,437
Adj. EPS	6.30	5.87	6.03	6.27
BBG EPS	6.64	6.06	6.19	6.39
Cashflow from operations	232,919	257,838	296,003	307,912
FCFF	82,019	121,238	163,933	178,389
Margins and Growth				
Revenue Growth Y/Y (%)	0.9%	(1.1%)	1.2%	2.0%
EBIT margin	14.2%	12.7%	12.9%	13.2%
EBIT Growth Y/Y (%)	4.4%	(11.7%)	2.9%	4.5%
EBITDA margin	32.3%	31.0%	31.1%	30.9%
EBITDA Growth Y/Y (%)	1.6%	(5.1%)	1.6%	1.5%
Net margin	13.1%	12.3%	12.5%	12.7%
Adj. EPS growth	(1.9%)	(6.8%)	2.6%	4.1%
Ratios				
Adj. tax rate	21.8%	21.6%	21.6%	21.6%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	9.7%	8.9%	8.9%	9.1%
Valuation				
FCFF yield	5.5%	8.1%	10.9%	11.9%
Dividend yield	6.9%	6.6%	6.9%	7.2%
EV/Revenue	1.4	1.3	1.2	1.1
EV/EBITDA	4.2	4.3	4.0	3.7
Adj. P/E	10.9	11.7	11.4	11.0

Summary Investment Thesis and Valuation

CM is the largest telco operator in China, and we see it has the mildest impact from the VAT adjustment in 2026 (due to its substantially higher margin than peers), and its dividend yield of 6.9% in 2026E (based on JPMe) is the largest among the Big 3. While we forecast its profit to decline 7% YoY in 2026E (milder than -14%/-13% of CT-H/CU-H), we expect its profit to rebound 3%/4% in 2027E/28E on lower depreciation cost due to lower capex, and profit contribution from AI services, offsetting weak traditional telco services. CM has reiterated a stable to rising dividend payout ratio for 2026, and free cash flow to improve substantially. Therefore, we believe CM has a solid balance sheet/free cash flow to support future dividend payouts. A further rise in AI investment from enterprises (especially SOEs) could drive industrial internet revenue and profit upside for CM.

Our Dec-27 PT of HK$100 is based on 2027E DPS of HK$5.5 and a one-year forward dividend yield of 5.5% at a premium to the local market yield (HSI at 3.3%) given the relatively low earnings growth of CM.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.13	0.15
Region: China	0.46	0.33
Macro:		
US 10 Year Yield	0.26	0.27
Markit EM Composite PMI SA	-0.29	-0.21
JPM Global Equity Sentiment	0.34	0.17
Quant Styles:		
Value	0.39	0.29
Quality	0.34	0.28
DivYld	0.38	0.27

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

China Mobile LTD *(Overweight; Price Target: HK$100.00)*

Investment Thesis

CM is the largest telco operator in China, and we see it has the mildest impact from the VAT adjustment in 2026 (due to its substantially higher margin than peers), and its dividend yield of 6.9% in 2026E (based on JPMe) is the largest among the Big 3. While we forecast its profit to decline 7% YoY in 2026E (milder than -14%/-13% of CT-H/CU-H), we expect its profit to rebound 3%/4% in 2027E/28E on lower depreciation cost due to lower capex, and profit contribution from AI services, offsetting weak traditional telco services. CM has reiterated a stable to rising dividend payout ratio for 2026, and free cash flow to improve substantially. Therefore, we believe CM has a solid balance sheet/free cash flow to support future dividend payouts. A further rise in AI investment from enterprises (especially SOEs) could drive industrial internet revenue and profit upside for CM.

Valuation

Our Dec-27 PT of HK$100 is based on 2027E DPS of HK$5.5 and a one-year forward dividend yield of 5.5% at a premium to the local market yield (HSI at 3.3%) given the relatively low earnings growth of CM.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- US investment restrictions (ie. sanctions-related designations).
- While telco services are generally a 'staples' service, a weaker-than-expected economy could also impact consumers' willingness to spend.
- Cloud revenue growth could potentially be slower than expected if there is a lack of new development in AI services (e.g. Deepseek in 1Q25) and a weak macro backdrop could also weigh on enterprise spending on AI/cloud.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Mobile - H: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**1,040,759**	**1,050,187**	**1,038,806**	**1,050,981**	**1,072,293**
COGS	(149,240)	(152,992)	(160,885)	(168,929)	(177,376)
Gross profit	**891,519**	**897,195**	**877,921**	**882,051**	**894,917**
SG&A	(295,419)	(301,364)	(294,837)	(296,595)	(301,226)
Adj. EBITDA	**333,691**	**338,931**	**321,706**	**326,859**	**331,670**
D&A	(191,101)	(189,999)	(190,208)	(191,553)	(190,229)
Adj. EBIT	**142,590**	**148,932**	**131,498**	**135,306**	**141,441**
Net Interest	19,732	14,646	16,302	16,019	16,007
Adj. PBT	**178,389**	**175,608**	**163,151**	**167,330**	**174,139**
Tax	(39,863)	(38,344)	(35,267)	(36,095)	(37,534)
Minority Interest	(153)	(169)	(157)	(161)	(168)
Adj. Net Income	**138,373**	**137,095**	**127,727**	**131,073**	**136,437**
Reported EPS	6.42	6.30	5.87	6.03	6.27
Adj. EPS	**6.42**	**6.30**	**5.87**	**6.03**	**6.27**
DPS	**4.65**	**4.76**	**4.58**	**4.73**	**4.96**
Payout ratio	72.4%	75.5%	78.0%	78.5%	79.0%
Shares outstanding	21,543	21,752	21,752	21,752	21,752

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**-**	**-**	**-**	**-**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	-	-	-	-
Adj. EBITDA	**-**	**-**	**-**	**-**
D&A	-	-	-	-
Adj. EBIT	**-**	**-**	**-**	**-**
Net Interest	-	-	-	-
Adj. PBT	**-**	**-**	**-**	**-**
Tax	-	-	-	-
Minority Interest	-	-	-	-
Adj. Net Income	**-**	**-**	**-**	**-**
Reported EPS	-	-	-	-
Adj. EPS	**-**	**-**	**-**	**-**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	-	-	-	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	167,309	97,267	120,108	198,061	286,684
Accounts receivable	103,558	121,073	120,242	125,200	127,019
Inventories	11,229	16,613	18,444	16,775	18,955
Other current assets	286,463	262,693	289,942	288,696	287,799
Current assets	**568,559**	**497,646**	**548,735**	**628,733**	**720,457**
PP&E	714,494	707,116	688,541	662,690	635,493
LT investments	-	-	-	-	-
Other non current assets	825,074	923,420	882,169	846,763	811,932
Total assets	**2,108,127**	**2,128,182**	**2,119,444**	**2,138,186**	**2,167,882**
Short term borrowings	40,843	17,202	17,411	16,147	15,414
Payables	407,738	408,398	411,754	401,303	399,338
Other short term liabilities	184,437	187,960	161,447	162,295	163,776
Current liabilities	**633,018**	**613,560**	**590,612**	**579,745**	**578,528**
Long-term debt	0	9,748	0	0	0
Other long term liabilities	78,570	72,023	71,924	72,030	72,215
Total liabilities	**711,588**	**695,331**	**662,536**	**651,775**	**650,743**
Shareholders' equity	1,392,032	1,428,475	1,452,375	1,481,718	1,512,277
Minority interests	4,507	4,376	4,533	4,694	4,862
Total liabilities & equity	**2,108,127**	**2,128,182**	**2,119,444**	**2,138,186**	**2,167,882**
BVPS	**64.93**	**66.13**	**67.24**	**68.60**	**70.01**
y/y Growth	*3.4%*	*1.9%*	*1.7%*	*2.0%*	*2.1%*
Net debt/(cash)	(126,466)	(70,317)	(102,696)	(181,914)	(271,271)
Cash flow from operating activities	**315,741**	**232,919**	**257,838**	**296,003**	**307,912**
o/w Depreciation & amortization	191,101	189,999	190,208	191,553	190,229
o/w Changes in working capital	2,457	(70,369)	(48,452)	(15,265)	(7,415)
Cash flow from investing activities	**(185,194)**	**(190,403)**	**(118,562)**	**(113,470)**	**(110,583)**
o/w Capital expenditure	(155,979)	(156,951)	(136,600)	(132,071)	(129,522)
as % of sales	*15.0%*	*14.9%*	*13.1%*	*12.6%*	*12.1%*
Cash flow from financing activities	**(105,167)**	**(112,143)**	**(116,435)**	**(104,580)**	**(108,706)**
o/w Dividends paid	(97,458)	(103,410)	(103,984)	(101,892)	(106,045)
o/w Net debt issued/(repaid)	0	0	0	0	0
Net change in cash	**25,750**	**(70,042)**	**22,841**	**77,954**	**88,623**
Adj. Free cash flow to firm	**151,720**	**82,019**	**121,238**	**163,933**	**178,389**
y/y Growth	*22.9%*	*(45.9%)*	*47.8%*	*35.2%*	*8.8%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	85.7%	85.4%	84.5%	83.9%	83.5%
EBITDA margin	32.1%	32.3%	31.0%	31.1%	30.9%
EBIT margin	13.7%	14.2%	12.7%	12.9%	13.2%
Net profit margin	13.3%	13.1%	12.3%	12.5%	12.7%
ROE	10.1%	9.7%	8.9%	8.9%	9.1%
ROA	6.7%	6.5%	6.0%	6.2%	6.3%
ROCE	7.9%	8.1%	7.0%	7.2%	7.3%
SG&A/Sales	28.4%	28.7%	28.4%	28.2%	28.1%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	10.7	10.9	11.7	11.4	11.0
P/BV (x)	1.1	1.0	1.0	1.0	1.0
EV/EBITDA (x)	4.1	4.2	4.3	4.0	3.7
Dividend Yield	6.7%	6.9%	6.6%	6.9%	7.2%
Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	196.9%	491.0%	1080.2%	247.1%	223.6%
Revenue y/y Growth	3.1%	0.9%	(1.1%)	1.2%	2.0%
EBITDA y/y Growth	(2.3%)	1.6%	(5.1%)	1.6%	1.5%
Tax rate	22.3%	21.8%	21.6%	21.6%	21.6%
Adj. Net Income y/y Growth	5.0%	(0.9%)	(6.8%)	2.6%	4.1%
EPS y/y Growth	4.4%	(1.9%)	(6.8%)	2.6%	4.1%
DPS y/y Growth	5.7%	2.4%	(3.8%)	3.3%	4.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Mobile - A

Most resilient China telco operator with highest dividend yield

CM is the largest telco operator in China, and we see it has the mildest impact from the VAT adjustment in 2026 (due to its substantially higher margin than peers), and its dividend yield of 6.9% in 2026E (based on JPMe) is the largest among the Big 3. While we forecast its profit to decline 7% YoY in 2026E (milder than -14%/-13% of CT-H/CU-H), we expect its profit to rebound 3%/4% in 2027E/28E on lower depreciation cost due to lower capex, and profit contribution from AI services, offsetting weak traditional telco services. CM has reiterated a stable to rising dividend payout ratio for 2026, and free cash flow to improve substantially. Therefore, we believe CM has a solid balance sheet/free cash flow to support future dividend payouts. A further rise in AI investment from enterprises (especially SOEs) could drive industrial internet revenue and profit upside for CM.

Forecast revisions: We cut 2026/27E revenue by 2%/3%, and cut net profit by 3%/1% due to lower revenue forecast for traditional telco service.

Rmb115 PT unchanged. Our Dec-27 PT of Rmb115 is based on 2027E DPS of Rmb4.7 and a one-year forward dividend yield of 4.1% (prior basis: 2027E DPS of Rmb4.8 and dividend yield of 4.2%), at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CM.

Overweight

600941.SS,600941 CH
Price (14 Oct 26): Rmb100.49

Price Target (Dec-27): Rmb115.00

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001
J.P. Morgan Securities (China) Company Limited

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	12	17	16	18	1
Growth	53	46	21	16	70
Momentum	43	67	64	13	
Quality	17	18	5	4	57
Low Vol	1	1	1	28	

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-0.6%	2.4%	9.5%	-6.6%
Rel	13.0%	4.5%	11.9%	8.9%

Company Data

Shares O/S (mn)	903
52-week range (Rmb)	109.61-85.38
Market cap ($ mn)	13,555
Exchange rate	6.69
Free float (%)	82.5%
3M ADV (mn)	10.38
3M ADV ($ mn)	150.0
Volatility (90 Day)	18
Index	MXCNX
BBG ANR (Buy | Hold | Sell)	15|1|0

Key Metrics (FYE Dec)

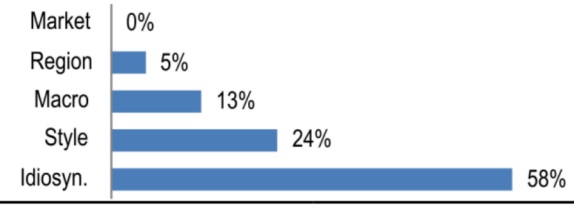
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	1,050,187	1,038,806	1,050,981	1,072,293
Adj. EBIT	148,932	131,498	135,306	141,441
Adj. EBITDA	338,931	321,706	326,859	331,670
Adj. net income	137,095	127,727	131,073	136,437
Adj. EPS	6.30	5.87	6.03	6.27
BBG EPS	6.70	5.87	6.03	6.24
Cashflow from operations	232,919	257,838	296,003	307,912
FCFF	82,019	121,238	163,933	178,389
Margins and Growth				
Revenue Growth Y/Y (%)	0.9%	(1.1%)	1.2%	2.0%
EBIT margin	14.2%	12.7%	12.9%	13.2%
EBIT Growth Y/Y (%)	4.4%	(11.7%)	2.9%	4.5%
EBITDA margin	32.3%	31.0%	31.1%	30.9%
EBITDA Growth Y/Y (%)	1.6%	(5.1%)	1.6%	1.5%
Net margin	13.1%	12.3%	12.5%	12.7%
Adj. EPS growth	(1.9%)	(6.8%)	2.6%	4.1%
Ratios				
Adj. tax rate	21.8%	21.6%	21.6%	21.6%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	9.7%	8.9%	8.9%	9.1%
Valuation				
FCFF yield	3.8%	5.5%	7.5%	8.2%
Dividend yield	4.7%	4.6%	4.7%	4.9%
EV/Revenue	1.4	1.3	1.2	1.1
EV/EBITDA	4.2	4.3	4.0	3.7
Adj. P/E	15.9	17.1	16.7	16.0

Summary Investment Thesis and Valuation

CM-A has the same financials as CM-H. China Mobile (CM) is the largest telecom operator in China by service revenue. CM is the No.1 service provider for both mobile and broadband markets, and we expect it to maintain its dominant position in these traditional markets, as industry competition has become more benign vs pre-2020 (CT had proactively expanded mobile subscribers back then). CM-A's current dividend yield is the highest among the three China telecom operators' A-share. While we forecast its profit to decline 7% YoY in 2026E (milder than -14%/-12% of CT-A/CU-A), we expect its profit to rebound 3%/4% in 2027E/28E on lower depreciation cost due to lower capex, and profit contribution from AI services, offsetting weak traditional telco services. CM reiterate a stable-to-rising dividend payout ratio for 2026, and for free cash flow to improve substantially. Therefore, we believe CM has a solid balance sheet/free cash flow to support future dividend payout. A further rise in AI investment from enterprises (especially SOEs) could drive industrial internet revenue and profit upside for CM. While we believe CM-A is an attractive high-yield name in China, we prefer CM-H over CM-A because CM-H offers a higher dividend yield.

Our Dec-27 PT of Rmb115 is based on 2027E DPS of Rmb4.7 and a one-year forward dividend yield of 4.1% at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively lower earnings growth of CM.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.15	0.04
Region: China	0.48	0.22
Macro:		
Generic 1st 'CO' Future	0.39	0.33
US 10 Year Yield	0.22	0.14
Citi Economic Surprise - EM	0.07	0.12
Quant Styles:		
Value	0.53	0.45
Quality	0.47	0.42
LowVol	0.39	0.40

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

Investment Thesis, Valuation and Risks

China Mobile Ltd - A *(Overweight; Price Target: Rmb115.00)*

Investment Thesis

CM-A has the same financials as CM-H. China Mobile (CM) is the largest telecom operator in China by service revenue. CM is the No.1 service provider for both mobile and broadband markets, and we expect it to maintain its dominant position in these traditional markets, as industry competition has become more benign vs pre-2020 (CT had proactively expanded mobile subscribers back then). CM-A's current dividend yield is the highest among the three China telecom operators' A-share. While we forecast its profit to decline 7% YoY in 2026E (milder than -14%/-12% of CT-A/CU-A), we expect its profit to rebound 3%/4% in 2027E/28E on lower depreciation cost due to lower capex, and profit contribution from AI services, offsetting weak traditional telco services. CM reiterate a stable-to-rising dividend payout ratio for 2026, and for free cash flow to improve substantially. Therefore, we believe CM has a solid balance sheet/free cash flow to support future dividend payout. A further rise in AI investment from enterprises (especially SOEs) could drive industrial internet revenue and profit upside for CM. While we believe CM-A is an attractive high-yield name in China, we prefer CM-H over CM-A because CM-H offers a higher dividend yield.

Valuation

Our Dec-27 PT of Rmb115 is based on 2027E DPS of Rmb4.7 and a one-year forward dividend yield of 4.1% at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively lower earnings growth of CM.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- US investment restrictions (ie. sanctions-related designations).
- While telco services are generally a 'staples' service, a weaker-than-expected economy could also impact consumers' willingness to spend.
- Cloud revenue growth could potentially be slower than expected if there is a lack of new development in AI services (e.g. Deepseek in 1Q25) and a weak macro backdrop could also weigh on enterprise spending on AI/cloud.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Mobile - A: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**1,040,759**	**1,050,187**	**1,038,806**	**1,050,981**	**1,072,293**
COGS	(149,240)	(152,992)	(160,885)	(168,929)	(177,376)
Gross profit	**891,519**	**897,195**	**877,921**	**882,051**	**894,917**
SG&A	(295,419)	(301,364)	(294,837)	(296,595)	(301,226)
Adj. EBITDA	**333,691**	**338,931**	**321,706**	**326,859**	**331,670**
D&A	(191,101)	(189,999)	(190,208)	(191,553)	(190,229)
Adj. EBIT	**142,590**	**148,932**	**131,498**	**135,306**	**141,441**
Net Interest	19,732	14,646	16,302	16,019	16,007
Adj. PBT	**178,389**	**175,608**	**163,151**	**167,330**	**174,139**
Tax	(39,863)	(38,344)	(35,267)	(36,095)	(37,534)
Minority Interest	(153)	(169)	(157)	(161)	(168)
Adj. Net Income	**138,373**	**137,095**	**127,727**	**131,073**	**136,437**
Reported EPS	6.42	6.30	5.87	6.03	6.27
Adj. EPS	**6.42**	**6.30**	**5.87**	**6.03**	**6.27**
DPS	**4.65**	**4.76**	**4.58**	**4.73**	**4.96**
Payout ratio	72.4%	75.5%	78.0%	78.5%	79.0%
Shares outstanding	21,543	21,752	21,752	21,752	21,752

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**-**	**-**	**-**	**-**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	-	-	-	-
Adj. EBITDA	**-**	**-**	**-**	**-**
D&A	-	-	-	-
Adj. EBIT	**-**	**-**	**-**	**-**
Net Interest	-	-	-	-
Adj. PBT	**-**	**-**	**-**	**-**
Tax	-	-	-	-
Minority Interest	-	-	-	-
Adj. Net Income	**-**	**-**	**-**	**-**
Reported EPS	-	-	-	-
Adj. EPS	**-**	**-**	**-**	**-**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	-	-	-	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	167,309	97,267	120,108	198,061	286,684
Accounts receivable	103,558	121,073	120,242	125,200	127,019
Inventories	11,229	16,613	18,444	16,775	18,955
Other current assets	286,463	262,693	289,942	288,696	287,799
Current assets	**568,559**	**497,646**	**548,735**	**628,733**	**720,457**
PP&E	714,494	707,116	688,541	662,690	635,493
LT investments	-	-	-	-	-
Other non current assets	825,074	923,420	882,169	846,763	811,932
Total assets	**2,108,127**	**2,128,182**	**2,119,444**	**2,138,186**	**2,167,882**
Short term borrowings	40,843	17,202	17,411	16,147	15,414
Payables	407,738	408,398	411,754	401,303	399,338
Other short term liabilities	184,437	187,960	161,447	162,295	163,776
Current liabilities	**633,018**	**613,560**	**590,612**	**579,745**	**578,528**
Long-term debt	0	9,748	0	0	0
Other long term liabilities	78,570	72,023	71,924	72,030	72,215
Total liabilities	**711,588**	**695,331**	**662,536**	**651,775**	**650,743**
Shareholders' equity	1,392,032	1,428,475	1,452,375	1,481,718	1,512,277
Minority interests	4,507	4,376	4,533	4,694	4,862
Total liabilities & equity	**2,108,127**	**2,128,182**	**2,119,444**	**2,138,186**	**2,167,882**
BVPS	**64.93**	**66.13**	**67.24**	**68.60**	**70.01**
y/y Growth	*3.4%*	*1.9%*	*1.7%*	*2.0%*	*2.1%*
Net debt/(cash)	(126,466)	(70,317)	(102,696)	(181,914)	(271,271)
Cash flow from operating activities	**315,741**	**232,919**	**257,838**	**296,003**	**307,912**
o/w Depreciation & amortization	191,101	189,999	190,208	191,553	190,229
o/w Changes in working capital	2,457	(70,369)	(48,452)	(15,265)	(7,415)
Cash flow from investing activities	**(185,194)**	**(190,403)**	**(118,562)**	**(113,470)**	**(110,583)**
o/w Capital expenditure	(155,979)	(156,951)	(136,600)	(132,071)	(129,522)
as % of sales	*15.0%*	*14.9%*	*13.1%*	*12.6%*	*12.1%*
Cash flow from financing activities	**(105,167)**	**(112,143)**	**(116,435)**	**(104,580)**	**(108,706)**
o/w Dividends paid	(97,458)	(103,410)	(103,984)	(101,892)	(106,045)
o/w Net debt issued/(repaid)	0	0	0	0	0
Net change in cash	**25,750**	**(70,042)**	**22,841**	**77,954**	**88,623**
Adj. Free cash flow to firm	**151,720**	**82,019**	**121,238**	**163,933**	**178,389**
y/y Growth	*22.9%*	*(45.9%)*	*47.8%*	*35.2%*	*8.8%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	85.7%	85.4%	84.5%	83.9%	83.5%
EBITDA margin	32.1%	32.3%	31.0%	31.1%	30.9%
EBIT margin	13.7%	14.2%	12.7%	12.9%	13.2%
Net profit margin	13.3%	13.1%	12.3%	12.5%	12.7%
ROE	10.1%	9.7%	8.9%	8.9%	9.1%
ROA	6.7%	6.5%	6.0%	6.2%	6.3%
ROCE	7.9%	8.1%	7.0%	7.2%	7.3%
SG&A/Sales	28.4%	28.7%	28.4%	28.2%	28.1%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	15.6	15.9	17.1	16.7	16.0
P/BV (x)	1.5	1.5	1.5	1.5	1.4
EV/EBITDA (x)	4.1	4.2	4.3	4.0	3.7
Dividend Yield	4.6%	4.7%	4.6%	4.7%	4.9%
Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	196.9%	491.0%	1080.2%	247.1%	223.6%
Revenue y/y Growth	3.1%	0.9%	(1.1%)	1.2%	2.0%
EBITDA y/y Growth	(2.3%)	1.6%	(5.1%)	1.6%	1.5%
Tax rate	22.3%	21.8%	21.6%	21.6%	21.6%
Adj. Net Income y/y Growth	5.0%	(0.9%)	(6.8%)	2.6%	4.1%
EPS y/y Growth	4.4%	(1.9%)	(6.8%)	2.6%	4.1%
DPS y/y Growth	5.7%	2.4%	(3.8%)	3.3%	4.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Telecom - H

Overweight

0728.HK,728 HK
Price (14 Oct 26): HK$4.74

Price Target (Dec-27): HK$5.20
Prior (Dec-26): HK$6.00

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001
J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EBITDA - 26E (Rmb mn)	143,118	136,545	-4.6%
Adj. EBITDA - 27E (Rmb mn)	145,547	140,413	-3.5%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	45	40	42	28	11
Growth	63	53	51	19	84
Momentum	60	78	76	25	46
Quality	29	25	23	7	61
Low Vol	12	18	21	14	36

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Positive growth target for 2025-30E. Maintain OW

We maintain OW on CT-H, as we view its 2026E based dividend yield of 5.9% as attractive. While we forecast its profit to decline 14% YoY in 2026E due to VAT policy change and a decline in legacy telco service revenue, we expect its profit to rebound 7%/8% in 2027E/28E on growth of intelligence service, less depreciation cost due to lower capex, and opex optimization.

Positive growth target for the 15th Five-Year Plan: CT provides financial growth for 2026-30E: 1) maintain revenue stable growth, and net profit growth to be faster than revenue growth, 2) intelligence service revenue accounts for 20%+ of total (13% in 1H26). Based on our calculations, this implies a mid-teens revenue growth CAGR for intelligence services in 26-30E, supported by AI demand (intelligence service revenue +7% YoY in 1H26).

Forecast revisions: We cut our 2026/27E revenue forecasts by 5% respectively, and cut net profit by 8%/9%, due to VAT adjustment impact on traditional telco service revenue.

Lower PT to HK$5.2 from HK$6. Our PT revision is due to earnings cuts in 2027E. Our Dec-27 PT of HK$5.20 is based on 2027E DPS of HK$0.30 and a one-year forward dividend yield of 5.7% (prior basis: 2027E DPS of HK$0.32 and dividend yield of 5.4%), at a premium to the local market yield (HSI at 3.3%) given the relatively low earnings growth of CT.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-12.1%	3.2%	2.4%	-15.0%
Rel	-3.9%	4.4%	1.4%	-5.2%

Company Data

Shares O/S (mn)	13,877
52-week range (HK$)	6.08-4.24
Market cap ($ mn)	8,382
Exchange rate	7.85
Free float (%)	100.0%
3M ADV (mn)	58.67
3M ADV ($ mn)	34.8
Volatility (90 Day)	24
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	15|4|1

Key Metrics (FYE Dec)

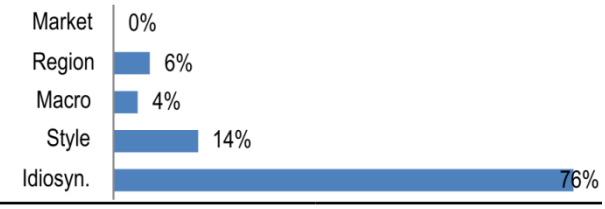
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	529,559	508,378	513,436	519,693
Adj. EBIT	39,674	31,897	33,640	35,853
Adj. EBITDA	143,872	136,545	140,413	144,687
Adj. net income	33,185	28,427	30,383	32,716
Adj. EPS	0.36	0.31	0.33	0.36
BBG EPS	0.38	0.32	0.34	0.36
Cashflow from operations	125,069	136,092	135,919	139,990
FCFF	37,099	38,817	43,333	48,770
Margins and Growth				
Revenue Growth Y/Y (%)	0.0%	(4.0%)	1.0%	1.2%
EBIT margin	7.5%	6.3%	6.6%	6.9%
EBIT Growth Y/Y (%)	(0.3%)	(19.6%)	5.5%	6.6%
EBITDA margin	27.2%	26.9%	27.3%	27.8%
EBITDA Growth Y/Y (%)	2.1%	(5.1%)	2.8%	3.0%
Net margin	6.3%	5.6%	5.9%	6.3%
Adj. EPS growth	0.5%	(14.3%)	6.9%	7.7%
Ratios				
Adj. tax rate	22.2%	22.2%	22.2%	22.2%
Interest cover	370.8	3,744.1	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	7.3%	6.1%	6.5%	6.8%
Valuation				
FCFF yield	10.0%	10.5%	11.7%	13.2%
Dividend yield	6.7%	5.8%	6.2%	6.8%
EV/Revenue	0.9	0.9	0.8	0.8
EV/EBITDA	3.3	3.3	3.0	2.7
Adj. P/E	11.1	13.0	12.2	11.3

Summary Investment Thesis and Valuation

China Telecom (CT) is the second-largest telecom operator in China by service revenue. It owns the largest cloud by revenue size among the big 3 and its cloud revenue/cloud revenue exposure ranks No.1 among the 3 major telecom operators. Therefore, it is considered to be a 'cloud proxy stock' among the 3 major telecom operators, leading to its P/E premium vs CM/CU. We are OW on CT-H, as we view its 2026E based dividend yield of 5.9% as attractive. While we forecast its profit to decline 14% YoY in 2026E due to VAT policy change and a decline in legacy telco service revenue, we expect its profit to rebound 7%/8% in 2027E/28E on growth of intelligence service, less depreciation cost due to lower capex, and opex optimization.

Our Dec-27 PT of HK$5.20 is based on 2027E DPS of HK$0.3 and a one-year forward dividend yield of 5.7%, at a premium to the local market yield (HSI at 3.3%) given the relatively lower earnings growth of CT.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.10	0.03
Region: China	0.49	0.24
Macro:		
JPM China A-shares Sentiment	-0.15	-0.12
US 10 Year Yield	0.27	0.11
Generic 1st 'CO' Future	-0.18	-0.09
Quant Styles:		
Value	0.27	0.38
DivYld	0.27	0.37
Growth	-0.26	-0.37

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Investment Thesis, Valuation and Risks

China Telecom Corp LTD *(Overweight; Price Target: HK$5.20)*

Investment Thesis

China Telecom (CT) is the second-largest telecom operator in China by service revenue. It owns the largest cloud by revenue size among the big 3 and its cloud revenue/cloud revenue exposure ranks No.1 among the 3 major telecom operators. Therefore, it is considered to be a 'cloud proxy stock' among the 3 major telecom operators, leading to its P/E premium vs CM/CU. We are OW on CT-H, as we view its 2026E based dividend yield of 5.9% as attractive. While we forecast its profit to decline 14% YoY in 2026E due to VAT policy change and a decline in legacy telco service revenue, we expect its profit to rebound 7%/8% in 2027E/28E on growth of intelligence service, less depreciation cost due to lower capex, and opex optimization.

Valuation

Our Dec-27 PT of HK$5.20 is based on 2027E DPS of HK$0.3 and a one-year forward dividend yield of 5.7%, at a premium to the local market yield (HSI at 3.3%) given the relatively lower earnings growth of CT.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- US investment restrictions (i.e. sanctions-related designations).
- While telco service is generally a 'staples' service, weaker-than-expected economy could also impact willingness to spend.
- Cloud revenue growth could potentially be slower-than-expected if there is a lack of new development in AI service (e.g. DeepSeek in 1Q25) and a weak macro could also weigh on enterprise spending on AI/cloud.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Telecom - H: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**529,417**	**529,559**	**508,378**	**513,436**	**519,693**
COGS	(42,092)	(42,374)	(32,770)	(32,754)	(32,737)
Gross profit	**487,325**	**487,185**	**475,608**	**480,683**	**486,956**
SG&A	(66,663)	(66,182)	(64,638)	(64,365)	(64,230)
Adj. EBITDA	**140,847**	**143,872**	**136,545**	**140,413**	**144,687**
D&A	(101,046)	(104,198)	(104,648)	(106,774)	(108,835)
Adj. EBIT	**39,801**	**39,674**	**31,897**	**33,640**	**35,853**
Net Interest	(228)	(388)	(36)	737	1,524
Adj. PBT	**42,170**	**42,680**	**36,561**	**39,076**	**42,076**
Tax	(9,197)	(9,457)	(8,101)	(8,658)	(9,323)
Minority Interest	37	(38)	(33)	(35)	(37)
Adj. Net Income	**33,010**	**33,185**	**28,427**	**30,383**	**32,716**
Reported EPS	0.36	0.36	0.31	0.33	0.36
Adj. EPS	**0.36**	**0.36**	**0.31**	**0.33**	**0.36**
DPS	**0.26**	**0.27**	**0.23**	**0.25**	**0.28**
Payout ratio	72.0%	75.0%	75.0%	76.0%	77.0%
Shares outstanding	91,507	91,507	91,507	91,507	91,507

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**-**	**-**	**-**	**-**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	-	-	-	-
Adj. EBITDA	**-**	**-**	**-**	**-**
D&A	-	-	-	-
Adj. EBIT	**-**	**-**	**-**	**-**
Net Interest	-	-	-	-
Adj. PBT	**-**	**-**	**-**	**-**
Tax	-	-	-	-
Minority Interest	-	-	-	-
Adj. Net Income	**-**	**-**	**-**	**-**
Reported EPS	-	-	-	-
Adj. EPS	**-**	**-**	**-**	**-**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	-	-	-	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	82,207	61,394	85,182	109,758	137,910
Accounts receivable	42,867	53,146	52,035	52,589	53,274
Inventories	3,267	3,431	2,573	2,573	2,573
Other current assets	59,784	88,164	87,124	87,642	88,284
Current assets	**188,125**	**206,135**	**226,914**	**252,563**	**282,041**
PP&E	485,880	472,664	441,956	420,706	395,054
LT investments	-	-	-	-	-
Other non current assets	192,620	191,845	183,555	174,919	166,186
Total assets	**866,625**	**870,644**	**852,425**	**848,187**	**843,281**
Short term borrowings	4,073	3,914	3,914	3,914	3,914
Payables	160,550	149,704	135,925	134,157	131,374
Other short term liabilities	160,754	170,095	166,331	162,566	158,802
Current liabilities	**325,377**	**323,713**	**306,170**	**300,637**	**294,090**
Long-term debt	7,459	6,109	6,109	6,109	6,109
Other long term liabilities	77,237	72,562	65,939	59,317	52,694
Total liabilities	**410,073**	**402,384**	**378,218**	**366,063**	**352,893**
Shareholders' equity	452,390	460,828	466,742	474,625	482,851
Minority interests	4,162	7,432	7,465	7,499	7,537
Total liabilities & equity	**866,625**	**870,644**	**852,425**	**848,187**	**843,281**
BVPS	**4.94**	**5.04**	**5.10**	**5.19**	**5.28**
y/y Growth	*2.1%*	*1.9%*	*1.3%*	*1.7%*	*1.7%*
Net debt/(cash)	(70,675)	(51,371)	(75,159)	(99,735)	(127,887)
Cash flow from operating activities	**145,049**	**125,069**	**136,092**	**135,919**	**139,990**
o/w Depreciation & amortization	101,044	104,198	104,648	106,774	108,835
o/w Changes in working capital	448	(22,209)	3,617	(1,376)	(1,702)
Cash flow from investing activities	**(103,432)**	**(100,288)**	**(73,000)**	**(72,050)**	**(70,556)**
o/w Capital expenditure	(89,928)	(80,364)	(73,000)	(72,050)	(70,556)
as % of sales	*17.0%*	*15.2%*	*14.4%*	*14.0%*	*13.6%*
Cash flow from financing activities	**(40,545)**	**(45,489)**	**(39,305)**	**(39,292)**	**(41,282)**
o/w Dividends paid	(23,527)	(25,064)	(22,513)	(22,500)	(24,490)
o/w Net debt issued/(repaid)	(17,462)	(15,841)	(16,792)	(16,792)	(16,792)
Net change in cash	**1,072**	**(20,708)**	**23,788**	**24,577**	**28,152**
Adj. Free cash flow to firm	**22,176**	**37,099**	**38,817**	**43,333**	**48,770**
y/y Growth	*70.7%*	*67.3%*	*4.6%*	*11.6%*	*12.5%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	92.0%	92.0%	93.6%	93.6%	93.7%
EBITDA margin	26.6%	27.2%	26.9%	27.3%	27.8%
EBIT margin	7.5%	7.5%	6.3%	6.6%	6.9%
Net profit margin	6.2%	6.3%	5.6%	5.9%	6.3%
ROE	7.4%	7.3%	6.1%	6.5%	6.8%
ROA	3.9%	3.8%	3.3%	3.6%	3.9%
ROCE	6.8%	6.6%	5.2%	5.4%	5.7%
SG&A/Sales	12.6%	12.5%	12.7%	12.5%	12.4%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	11.2	11.1	13.0	12.2	11.3
P/BV (x)	0.8	0.8	0.8	0.8	0.8
EV/EBITDA (x)	3.2	3.3	3.3	3.0	2.7
Dividend Yield	6.4%	6.7%	5.8%	6.2%	6.8%
Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Interest cover (x)	617.8	370.8	3,744.1	NM	NM
Operating leverage	233.0%	(1189.6%)	490.1%	549.1%	539.9%
Revenue y/y Growth	3.1%	0.0%	(4.0%)	1.0%	1.2%
EBITDA y/y Growth	2.9%	2.1%	(5.1%)	2.8%	3.0%
Tax rate	21.8%	22.2%	22.2%	22.2%	22.2%
Adj. Net Income y/y Growth	8.4%	0.5%	(14.3%)	6.9%	7.7%
EPS y/y Growth	8.4%	0.5%	(14.3%)	6.9%	7.7%
DPS y/y Growth	11.4%	4.7%	(14.3%)	8.3%	9.1%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Telecom - A

Overweight

601728.SS,601728 CH
Price (14 Oct 26): Rmb6.68

▼ **Price Target (Dec-27): Rmb7.00**
Prior (Dec-26): Rmb7.20

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001
J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
EPS (Basic) - 26E (Rmb)	0.34	0.31	-7.9%
EPS (Basic) - 27E (Rmb)	0.37	0.33	-9.1%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	79	71	71	69	83
Growth	66	29	22	18	68
Momentum	44	78	72	17	
Quality	30	11	7	7	75
Low Vol	10	10	8	32	83

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Positive growth target for 2025-30E. Maintain OW

We maintain OW on CT-A, as we view its 2026E based dividend yield of 5.9% as attractive. While we forecast its profit to decline 14% YoY in 2026E due to VAT policy change and a decline in legacy telco service revenue, we expect its profit to rebound 7%/8% in 2027E/28E on growth of intelligence service, less depreciation cost due to lower capex, and opex optimization.

Positive growth target for the 15th Five-Year Plan: CT provides financial growth for 2026-30E: 1) maintain revenue stable growth, and net profit growth to be faster than revenue growth, 2) intelligence service revenue accounts for 20%+ of total (13% in 1H26). Based on our calculations, this implies a mid-teens revenue growth CAGR for intelligence services in 26-30E, supported by AI demand (intelligence service revenue +7% YoY in 1H26).

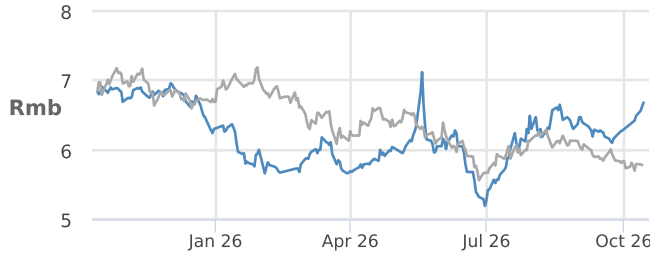
Forecast revisions: We cut our 2026/27E revenue forecasts by 5% respectively, and cut net profit by 8%/9%, due to VAT adjustment impact on traditional telco service revenue.

Lower PT to Rmb7.0 from Rmb7.2. Our PT revision is due to earnings cut in 2027E. Our Dec-27 PT of Rmb7.0 is based on 2027E DPS of Rmb0.25 and a one-year forward dividend yield of 3.6% (prior basis: 2027E DPS of Rmb0.28 and dividend yield of 4.0%), at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CT.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	6.0%	6.7%	16.2%	-2.3%
Rel	19.6%	8.8%	18.6%	13.2%

Company Data

Shares O/S (mn)	77,630
52-week range (Rmb)	7.39-5.15
Market cap ($ mn)	77,484
Exchange rate	6.69
Free float (%)	11.1%
3M ADV (mn)	117.43
3M ADV ($ mn)	110.1
Volatility (90 Day)	25
Index	MXCNX
BBG ANR (Buy | Hold | Sell)	13|3|0

Key Metrics (FYE Dec)

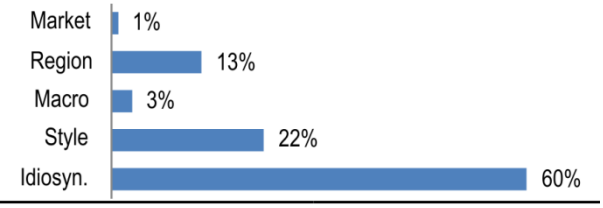
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	529,559	508,378	513,436	519,693
Adj. EBIT	39,674	31,897	33,640	35,853
Adj. EBITDA	143,872	136,545	140,413	144,687
Adj. net income	33,185	28,427	30,383	32,716
Adj. EPS	0.36	0.31	0.33	0.36
BBG EPS	0.38	0.32	0.32	0.34
Cashflow from operations	125,069	136,092	135,919	139,990
FCFF	37,099	38,817	43,333	48,770
Margins and Growth				
Revenue Growth Y/Y (%)	0.0%	(4.0%)	1.0%	1.2%
EBIT margin	7.5%	6.3%	6.6%	6.9%
EBIT Growth Y/Y (%)	(0.3%)	(19.6%)	5.5%	6.6%
EBITDA margin	27.2%	26.9%	27.3%	27.8%
EBITDA Growth Y/Y (%)	2.1%	(5.1%)	2.8%	3.0%
Net margin	6.3%	5.6%	5.9%	6.3%
Adj. EPS growth	0.5%	(14.3%)	6.9%	7.7%
Ratios				
Adj. tax rate	22.2%	22.2%	22.2%	22.2%
Interest cover	370.8	3,744.1	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	7.3%	6.1%	6.5%	6.8%
Valuation				
FCFF yield	6.1%	6.4%	7.1%	8.0%
Dividend yield	4.1%	3.5%	3.8%	4.1%
EV/Revenue	0.9	0.9	0.8	0.8
EV/EBITDA	3.3	3.3	3.0	2.8
Adj. P/E	18.4	21.5	20.1	18.7

Summary Investment Thesis and Valuation

China Telecom (CT) is the second-largest telecom operator in China by service revenue. Its cloud revenue/cloud revenue exposure ranks No.1 among the 3 major telecom operators. Therefore, it is considered to be a 'cloud proxy stock' among the 3 major telecom operators. We are positive on CT's share price outlook on a 12M view, as: 1) the resumption of chip supply in China could be positive to China's IaaS value chain, particularly for cloud/AIDC operators (shovel seller). Further growth of AI use cases in China (e.g. Kuaishou's Kling) could lead to higher cloud/AIDC demand for China telco operators and drive a further multiple re-rating for CT. 2) CT-A's current dividend yield appears attractive vs SHSZ300. Comparing CT-A vs CT-H, we see the H-share offers a higher dividend yield, thus we prefer CT-H over CT-A.

Our Dec-27 PT of Rmb7.0 is based on 2027E DPS of Rmb0.25 and a one-year forward dividend yield of 3.6%, at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CT.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.05	-0.12
Region: China	0.65	0.37
Macro:		
JPM Global Equity Sentiment	0.19	0.17
US 10 Year Yield	0.31	0.16
Emerging Economies CPI(YoY)	0.08	0.09
Quant Styles:		
Quality	0.50	0.45
Value	0.50	0.37
DivYld	0.41	0.35

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

Investment Thesis, Valuation and Risks

China Telecom Corp LTD - A *(Overweight; Price Target: Rmb7.00)*

Investment Thesis

China Telecom (CT) is the second-largest telecom operator in China by service revenue. Its cloud revenue/cloud revenue exposure ranks No.1 among the 3 major telecom operators. Therefore, it is considered to be a 'cloud proxy stock' among the 3 major telecom operators. We are positive on CT's share price outlook on a 12M view, as: 1) the resumption of chip supply in China could be positive to China's IaaS value chain, particularly for cloud/AIDC operators (shovel seller). Further growth of AI use cases in China (e.g. Kuaishou's Kling) could lead to higher cloud/AIDC demand for China telco operators and drive a further multiple re-rating for CT. 2) CT-A's current dividend yield appears attractive vs SHSZ300. Comparing CT-A vs CT-H, we see the H-share offers a higher dividend yield, thus we prefer CT-H over CT-A.

Valuation

Our Dec-27 PT of Rmb7.0 is based on 2027E DPS of Rmb0.25 and a one-year forward dividend yield of 3.6%, at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CT.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- US investment restrictions (i.e. sanctions-related designations).
- While telco services is generally a 'staples' service, a weaker-than-expected economy could also impact consumers' willingness to spend.
- Cloud revenue growth could potentially be slower than expected if there is a lack of new development in AI services (e.g. DeepSeek in 1Q25) and weak macro could also weigh on enterprise spending on AI/cloud.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Telecom - A: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**529,417**	**529,559**	**508,378**	**513,436**	**519,693**
COGS	(42,092)	(42,374)	(32,770)	(32,754)	(32,737)
Gross profit	**487,325**	**487,185**	**475,608**	**480,683**	**486,956**
SG&A	(66,663)	(66,182)	(64,638)	(64,365)	(64,230)
Adj. EBITDA	**140,847**	**143,872**	**136,545**	**140,413**	**144,687**
D&A	(101,046)	(104,198)	(104,648)	(106,774)	(108,835)
Adj. EBIT	**39,801**	**39,674**	**31,897**	**33,640**	**35,853**
Net Interest	(228)	(388)	(36)	737	1,524
Adj. PBT	**42,170**	**42,680**	**36,561**	**39,076**	**42,076**
Tax	(9,197)	(9,457)	(8,101)	(8,658)	(9,323)
Minority Interest	37	(38)	(33)	(35)	(37)
Adj. Net Income	**33,010**	**33,185**	**28,427**	**30,383**	**32,716**
Reported EPS	0.36	0.36	0.31	0.33	0.36
Adj. EPS	**0.36**	**0.36**	**0.31**	**0.33**	**0.36**
DPS	**0.26**	**0.27**	**0.23**	**0.25**	**0.28**
Payout ratio	72.0%	75.0%	75.0%	76.0%	77.0%
Shares outstanding	91,507	91,507	91,507	91,507	91,507

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**-**	**-**	**-**	**-**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	-	-	-	-
Adj. EBITDA	**-**	**-**	**-**	**-**
D&A	-	-	-	-
Adj. EBIT	**-**	**-**	**-**	**-**
Net Interest	-	-	-	-
Adj. PBT	**-**	**-**	**-**	**-**
Tax	-	-	-	-
Minority Interest	-	-	-	-
Adj. Net Income	**-**	**-**	**-**	**-**
Reported EPS	-	-	-	-
Adj. EPS	**-**	**-**	**-**	**-**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	-	-	-	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	82,207	61,394	85,182	109,758	137,910
Accounts receivable	42,867	53,146	52,035	52,589	53,274
Inventories	3,267	3,431	2,573	2,573	2,573
Other current assets	59,784	88,164	87,124	87,642	88,284
Current assets	**188,125**	**206,135**	**226,914**	**252,563**	**282,041**
PP&E	485,880	472,664	441,956	420,706	395,054
LT investments	-	-	-	-	-
Other non current assets	192,620	191,845	183,555	174,919	166,186
Total assets	**866,625**	**870,644**	**852,425**	**848,187**	**843,281**
Short term borrowings	4,073	3,914	3,914	3,914	3,914
Payables	160,550	149,704	135,925	134,157	131,374
Other short term liabilities	160,754	170,095	166,331	162,566	158,802
Current liabilities	**325,377**	**323,713**	**306,170**	**300,637**	**294,090**
Long-term debt	7,459	6,109	6,109	6,109	6,109
Other long term liabilities	77,237	72,562	65,939	59,317	52,694
Total liabilities	**410,073**	**402,384**	**378,218**	**366,063**	**352,893**
Shareholders' equity	452,390	460,828	466,742	474,625	482,851
Minority interests	4,162	7,432	7,465	7,499	7,537
Total liabilities & equity	**866,625**	**870,644**	**852,425**	**848,187**	**843,281**
BVPS	**4.94**	**5.04**	**5.10**	**5.19**	**5.28**
y/y Growth	*2.1%*	*1.9%*	*1.3%*	*1.7%*	*1.7%*
Net debt/(cash)	(70,675)	(51,371)	(75,159)	(99,735)	(127,887)
Cash flow from operating activities	**145,049**	**125,069**	**136,092**	**135,919**	**139,990**
o/w Depreciation & amortization	101,044	104,198	104,648	106,774	108,835
o/w Changes in working capital	448	(22,209)	3,617	(1,376)	(1,702)
Cash flow from investing activities	**(103,432)**	**(100,288)**	**(73,000)**	**(72,050)**	**(70,556)**
o/w Capital expenditure	(89,928)	(80,364)	(73,000)	(72,050)	(70,556)
as % of sales	*17.0%*	*15.2%*	*14.4%*	*14.0%*	*13.6%*
Cash flow from financing activities	**(40,545)**	**(45,489)**	**(39,305)**	**(39,292)**	**(41,282)**
o/w Dividends paid	(23,527)	(25,064)	(22,513)	(22,500)	(24,490)
o/w Net debt issued/(repaid)	(17,462)	(15,841)	(16,792)	(16,792)	(16,792)
Net change in cash	**1,072**	**(20,708)**	**23,788**	**24,577**	**28,152**
Adj. Free cash flow to firm	**22,176**	**37,099**	**38,817**	**43,333**	**48,770**
y/y Growth	*70.7%*	*67.3%*	*4.6%*	*11.6%*	*12.5%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	92.0%	92.0%	93.6%	93.6%	93.7%
EBITDA margin	26.6%	27.2%	26.9%	27.3%	27.8%
EBIT margin	7.5%	7.5%	6.3%	6.6%	6.9%
Net profit margin	6.2%	6.3%	5.6%	5.9%	6.3%
ROE	7.4%	7.3%	6.1%	6.5%	6.8%
ROA	3.9%	3.8%	3.3%	3.6%	3.9%
ROCE	6.8%	6.6%	5.2%	5.4%	5.7%
SG&A/Sales	12.6%	12.5%	12.7%	12.5%	12.4%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	18.5	18.4	21.5	20.1	18.7
P/BV (x)	1.4	1.3	1.3	1.3	1.3
EV/EBITDA (x)	3.2	3.3	3.3	3.0	2.8
Dividend Yield	3.9%	4.1%	3.5%	3.8%	4.1%
Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Interest cover (x)	617.8	370.8	3,744.1	NM	NM
Operating leverage	233.0%	(1189.6%)	490.1%	549.1%	539.9%
Revenue y/y Growth	3.1%	0.0%	(4.0%)	1.0%	1.2%
EBITDA y/y Growth	2.9%	2.1%	(5.1%)	2.8%	3.0%
Tax rate	21.8%	22.2%	22.2%	22.2%	22.2%
Adj. Net Income y/y Growth	8.4%	0.5%	(14.3%)	6.9%	7.7%
EPS y/y Growth	8.4%	0.5%	(14.3%)	6.9%	7.7%
DPS y/y Growth	11.4%	4.7%	(14.3%)	8.3%	9.1%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Unicom - H

Overweight

0762.HK,762 HK
Price (14 Oct 26): HK$5.72

▼ **Price Target (Dec-27): HK$8.00**
Prior (Dec-26): HK$9.00

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001
J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EBITDA - 26E (Rmb mn)	90,533	95,344	5.3%
Adj. EBITDA - 27E (Rmb mn)	90,817	95,907	5.6%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	16	17	22	13	7
Growth	86	61	39	81	42
Momentum	85	80	48	23	85
Quality	60	39	19	59	56
Low Vol	25	36	41	18	52

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Await more visibility on dividend policy in the FY26 result

CU-H's YTD share price performance (-26%, vs -9%/+5% of CT-H/CM-H) is the weakest among the big 3 due to: 1) no interim dividend announcement in 1H26 (for the first time since 2021) and 2) 1H26 net profit declined by 35% YoY due to a 19% YoY increase in employee expenses. However, CU management indicated that: 1) CU remains committed to shareholder value; we note CU didn't provide an interim dividend in 2017-20 but provided annual dividend during the full-year results announcement. Based on our calculations, if CU sustains a dividend payout ratio of 2025 level (61%), its current share price implies an 8% dividend yield in 2026E, 2) CU's personnel expenses will remain stable YoY for the full year, and the profit decline in full year 2026E should be much narrower vs 1H26 (JPMe 2026E NP to decline 13% YoY). We maintain OW on CU-H. However, we believe share outperformance will require more visibility in the full year (and 2027 onward) dividend policy, which we believe should be disclosed in the 2026 full year result announcement in 1H27.

Forecast revisions: We lower our 2027E revenue by 1%, and cut 2026/27E net profit by 6%/3%, due to VAT adjustment impact on traditional telco service revenue.

Lower PT to HK$8 from HK$9. Our PT cut is due to earnings cuts in 2027E. Our Dec-27 PT of HK$8.00 is based on 2027E DPS of HK$0.46 and a one-year forward dividend yield of 5.7% (prior basis: 2027E DPS of HK$0.46 and dividend yield of 5.1%), at a premium to the local market yield (HSI at 3.3%) given the relatively low earnings growth of CU.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-26.5%	-5.0%	-10.8%	-35.7%
Rel	-18.3%	-3.8%	-11.8%	-25.8%

Company Data

Shares O/S (mn)	30,598
52-week range (HK$)	9.92-5.38
Market cap ($ mn)	22,301
Exchange rate	7.85
Free float (%)	20.1%
3M ADV (mn)	38.91
3M ADV ($ mn)	29.3
Volatility (90 Day)	33
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	13|3|1

Key Metrics (FYE Dec)

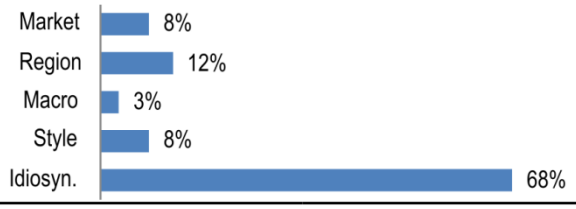
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	392,223	393,172	396,050	401,409
Adj. EBIT	18,601	15,000	16,564	18,578
Adj. EBITDA	99,431	95,344	95,907	96,839
Adj. net income	20,816	18,176	19,444	21,007
Adj. EPS	0.68	0.59	0.64	0.69
BBG EPS	0.70	0.58	0.60	0.64
Cashflow from operations	90,175	86,836	85,591	87,176
FCFF	36,025	36,836	36,977	39,772
Margins and Growth				
Revenue Growth Y/Y (%)	0.7%	0.2%	0.7%	1.4%
EBIT margin	4.7%	3.8%	4.2%	4.6%
EBIT Growth Y/Y (%)	16.0%	(19.4%)	10.4%	12.2%
EBITDA margin	25.4%	24.2%	24.2%	24.1%
EBITDA Growth Y/Y (%)	0.0%	(4.1%)	0.6%	1.0%
Net margin	5.3%	4.6%	4.9%	5.2%
Adj. EPS growth	1.0%	(12.7%)	7.0%	8.0%
Ratios				
Adj. tax rate	17.8%	17.7%	17.7%	17.7%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	5.7%	4.8%	5.1%	5.4%
Valuation				
FCFF yield	24.1%	24.7%	24.8%	26.6%
Dividend yield	8.5%	7.4%	8.0%	8.7%
EV/Revenue	0.5	0.5	0.5	0.4
EV/EBITDA	2.0	1.9	1.9	1.7
Adj. P/E	7.2	8.2	7.7	7.1

Summary Investment Thesis and Valuation

CU's YTD share price performance is the weakest among big 3 due to: 1) no interim dividend announcement in 1H26 (for the first time since 2021) and 2) 1H26 net profit declined by 35% YoY due to a 19% YoY increase in employee expenses. However, CU management indicated that: 1) CU remains committed to shareholder value; we note CU didn't provide an interim dividend in 2017-20 but provided annual dividend during the full-year results announcement. Based on our calculations, if CU sustains a dividend payout ratio of 2025 level (61%), its current share price implies an 8% dividend yield in 2026E, 2) CU's personnel expenses will remain stable YoY for the full year, and the profit decline in full year 2026E should be much narrower vs 1H26 (JPMe 2026E NP to decline 13% YoY). We maintain OW on CU-H. However, we believe share outperformance will require more visibility in the full year (and 2027 onward) dividend policy, which we believe should be disclosed in the 2026 full year result announcement in 1H27.

Our Dec-27 PT of HK$8.00 is based on 2027E DPS of HK$0.46 and a one-year forward dividend yield of 5.7% at a premium to the local market yield (HSI at 3.3%) given the relatively lower earnings growth of CU.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.27
Region: China	0.52	0.38
Macro:		
US 10 Year Yield	0.32	0.21
Citi Economic Surprise - EM	-0.20	-0.16
Generic 1st 'CO' Future	-0.23	-0.13
Quant Styles:		
Quality	0.29	0.26
DivYld	0.19	0.22
Value	0.20	0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

Investment Thesis, Valuation and Risks

China Unicom Hong Kong LTD *(Overweight; Price Target: HK$8.00)*

Investment Thesis

China Unicom (CU) is the third-largest telecom operator in China by service revenue. CU's YTD share price performance is the weakest among big 3 due to: 1) no interim dividend announcement in 1H26 (for the first time since 2021) and 2) 1H26 net profit declined by 35% YoY due to a 19% YoY increase in employee expenses. However, CU management indicated that: 1) CU remains committed to shareholder value; we note CU didn't provide an interim dividend in 2017-20 but provided annual dividend during the full-year results announcement. Based on our calculations, if CU sustains a dividend payout ratio of 2025 level (61%), its current share price implies an 8% dividend yield in 2026E, 2) CU's personnel expenses will remain stable YoY for the full year, and the profit decline in full year 2026E should be much narrower vs 1H26 (JPMe 2026E NP to decline 13% YoY). We maintain OW on CU-H. However, we believe share outperformance will require more visibility in the full year (and 2027 onward) dividend policy, which we believe should be disclosed in the 2026 full year result announcement in 1H27.

Valuation

Our Dec-27 PT of HK$8.00 is based on 2027E DPS of HK$0.46 and a one-year forward dividend yield of 5.7% at a premium to the local market yield (HSI at 3.3%) given the relatively lower earnings growth of CU.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- US investment restrictions (i.e. sanctions-related designations).
- While telco services are generally a 'staples' service, a weaker-than-expected economy could also impact consumers' willingness to spend.
- Cloud revenue growth could potentially be slower than expected if there is a lack of new development in AI services (e.g. DeepSeek in 1Q25), and weak macro could also weigh on enterprise spending on AI/cloud.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Unicom - H: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**389,590**	**392,223**	**393,172**	**396,050**	**401,409**
COGS	(42,466)	(42,940)	(45,516)	(47,109)	(48,523)
Gross profit	**347,124**	**349,283**	**347,656**	**348,941**	**352,886**
SG&A	(107,223)	(107,040)	(106,292)	(106,322)	(107,515)
Adj. EBITDA	**99,426**	**99,431**	**95,344**	**95,907**	**96,839**
D&A	(83,392)	(80,830)	(80,344)	(79,344)	(78,261)
Adj. EBIT	**16,034**	**18,601**	**15,000**	**16,564**	**18,578**
Net Interest	197	495	510	1,125	1,277
Adj. PBT	**25,255**	**25,453**	**22,216**	**23,761**	**25,665**
Tax	(4,521)	(4,543)	(3,943)	(4,217)	(4,555)
Minority Interest	(120)	(94)	(97)	(100)	(103)
Adj. Net Income	**20,614**	**20,816**	**18,176**	**19,444**	**21,007**
Reported EPS	0.67	0.68	0.59	0.64	0.69
Adj. EPS	**0.67**	**0.68**	**0.59**	**0.64**	**0.69**
DPS	**0.40**	**0.42**	**0.36**	**0.39**	**0.43**
Payout ratio	60.0%	61.3%	61.0%	61.5%	62.0%
Shares outstanding	30,598	30,598	30,598	30,598	30,598

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**-**	**-**	**-**	**-**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	-	-	-	-
Adj. EBITDA	**-**	**-**	**-**	**-**
D&A	-	-	-	-
Adj. EBIT	**-**	**-**	**-**	**-**
Net Interest	-	-	-	-
Adj. PBT	**-**	**-**	**-**	**-**
Tax	-	-	-	-
Minority Interest	-	-	-	-
Adj. Net Income	**-**	**-**	**-**	**-**
Reported EPS	-	-	-	-
Adj. EPS	**-**	**-**	**-**	**-**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	-	-	-	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	28,480	25,109	40,185	40,914	51,305
Accounts receivable	53,730	65,994	65,668	65,901	66,640
Inventories	2,463	2,431	2,439	2,448	2,494
Other current assets	74,127	75,425	75,265	75,379	75,741
Current assets	**158,800**	**168,959**	**183,557**	**184,642**	**196,180**
PP&E	351,530	345,611	333,064	320,355	307,711
LT investments	19,852	20,712	32,001	43,290	54,579
Other non current assets	141,055	134,336	129,909	125,143	120,499
Total assets	**671,237**	**669,618**	**678,531**	**673,430**	**678,969**
Short term borrowings	954	1,555	1,555	1,555	1,555
Payables	163,367	187,088	185,839	182,781	180,908
Other short term liabilities	106,351	78,347	78,021	78,254	78,992
Current liabilities	**270,672**	**266,990**	**265,415**	**262,589**	**261,455**
Long-term debt	1,170	3,928	3,928	3,928	3,928
Other long term liabilities	35,825	27,833	24,117	21,534	19,782
Total liabilities	**307,667**	**298,751**	**293,460**	**288,051**	**285,165**
Shareholders' equity	361,045	368,282	382,388	382,598	390,920
Minority interests	2,525	2,585	2,682	2,782	2,884
Total liabilities & equity	**671,237**	**669,618**	**678,531**	**673,430**	**678,969**
BVPS	**11.88**	**12.12**	**12.58**	**12.59**	**12.87**
y/y Growth	*2.7%*	*2.0%*	*3.8%*	*0.1%*	*2.2%*
Net debt/(cash)	(26,356)	(19,626)	(34,702)	(35,431)	(45,822)
Cash flow from operating activities	**89,402**	**90,175**	**86,836**	**85,591**	**87,176**
o/w Depreciation & amortization	83,392	80,831	80,344	79,344	78,261
o/w Changes in working capital	(16,344)	(9,631)	(7,211)	(9,296)	(8,395)
Cash flow from investing activities	**(84,656)**	**(69,653)**	**(56,989)**	**(56,034)**	**(55,259)**
o/w Capital expenditure	(75,740)	(67,641)	(47,287)	(46,332)	(45,557)
as % of sales	*19.4%*	*17.2%*	*12.0%*	*11.7%*	*11.3%*
Cash flow from financing activities	**(24,064)**	**(23,801)**	**(14,771)**	**(28,829)**	**(21,525)**
o/w Dividends paid	(11,683)	(13,472)	(4,066)	(19,235)	(12,685)
o/w Net debt issued/(repaid)	813	1,789	0	0	0
Net change in cash	**(19,253)**	**(3,371)**	**15,076**	**729**	**10,392**
Adj. Free cash flow to firm	**28,032**	**36,025**	**36,836**	**36,977**	**39,772**
y/y Growth	*(1.7%)*	*28.5%*	*2.3%*	*0.4%*	*7.6%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	89.1%	89.1%	88.4%	88.1%	87.9%
EBITDA margin	25.5%	25.4%	24.2%	24.2%	24.1%
EBIT margin	4.1%	4.7%	3.8%	4.2%	4.6%
Net profit margin	5.3%	5.3%	4.6%	4.9%	5.2%
ROE	5.8%	5.7%	4.8%	5.1%	5.4%
ROA	3.1%	3.1%	2.7%	2.9%	3.1%
ROCE	3.7%	4.1%	3.2%	3.5%	3.9%
SG&A/Sales	27.5%	27.3%	27.0%	26.8%	26.8%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	7.2	7.2	8.2	7.7	7.1
P/BV (x)	0.4	0.4	0.4	0.4	0.4
EV/EBITDA (x)	2.0	2.0	1.9	1.9	1.7
Dividend Yield	8.3%	8.5%	7.4%	8.0%	8.7%
Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	156.6%	2368.9%	(7997.6%)	1424.4%	898.8%
Revenue y/y Growth	4.6%	0.7%	0.2%	0.7%	1.4%
EBITDA y/y Growth	(0.4%)	0.0%	(4.1%)	0.6%	1.0%
Tax rate	17.9%	17.8%	17.7%	17.7%	17.7%
Adj. Net Income y/y Growth	10.1%	1.0%	(12.7%)	7.0%	8.0%
EPS y/y Growth	10.1%	1.0%	(12.7%)	7.0%	8.0%
DPS y/y Growth	20.1%	3.1%	(13.1%)	7.9%	8.9%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Unicom Network - A

Overweight

600050.SS,600050 CH
Price (14 Oct 26): Rmb4.40

▼ **Price Target (Dec-27): Rmb4.90**
Prior (Dec-26): Rmb5.50

China
Internet

Daniel Chen AC
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com
SAC Registration Number: S1730521040001
J.P. Morgan Securities (China) Company Limited

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	27	39	37	33	28
Growth	53	59	35	90	26
Momentum	77	74	97	20	68
Quality	24	39	17	86	56
Low Vol	9	22	22	50	4
ESGQ	100	94	92	15	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Await more visibility on dividend policy in FY26 result

CU-A's YTD share price performance (-15%, vs +7/+2% of CT-A/CM-A) is the weakest among big 3 due to:1) no interim dividend announcement in 1H26 (for the first time since 2021) and 2) 1H26 net profit declined by 35% YoY due to a 19% YoY increase in employee expenses. However, CU management indicated that: 1) CU remains committed to shareholder value; we note CU didn't provide an interim dividend in 2017-20 but provided annual dividend during the full-year results announcement. Based on our calculations, if CU sustains a dividend payout ratio of 2025 level (61%), its current share price implies an 8% dividend yield in 2026E, 2) CU's personnel expenses will remain stable YoY for the full year, and the profit decline in full year 2026E should be much narrower vs 1H26 (JPMe 2026E NP to decline 13% YoY). We maintain OW on CU-A. However, we believe share outperformance will require more visibility in the full year (and 2027 onward) dividend policy, which we believe should be disclosed in the 2026 full year result announcement in 1H27.

Forecast revisions: We lower our 2027E revenue by 1%, and cut 2026/27E net profit by 5%/3%, due to VAT adjustment impact on traditional telco service revenue.

Lower PT to Rmb4.9 from Rmb5.5. Our PT cut is due to earnings cut in 2027E. Our Dec-27 PT of Rmb4.90 is based on 2027E DPS of Rmb0.16 and a one-year forward dividend yield of 3.2% (prior basis: 2027E DPS of Rmb0.16 and dividend yield of 3.0%), at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CU.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-13.9%	4.3%	4.5%	-20.3%
Rel	-0.3%	6.4%	6.9%	-4.8%

Company Data

Shares O/S (mn)	31,264
52-week range (Rmb)	5.59-3.93
Market cap ($ mn)	20,555
Exchange rate	6.69
Free float (%)	35.4%
3M ADV (mn)	140.71
3M ADV ($ mn)	90.4
Volatility (90 Day)	17
Index	MXCNX
BBG ANR (Buy | Hold | Sell)	9|1|3

Key Metrics (FYE Dec)

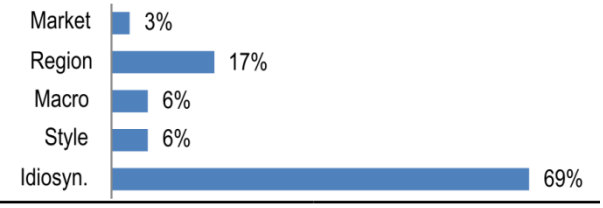
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	392,223	393,172	396,050	401,409
Adj. EBIT	18,363	15,633	17,010	19,216
Adj. EBITDA	93,161	89,088	89,623	90,480
Adj. net income	9,127	8,057	8,563	9,416
Adj. EPS	0.30	0.26	0.28	0.31
BBG EPS	0.31	0.25	0.27	0.29
Cashflow from operations	91,411	108,476	102,219	100,468
FCFF	23,317	61,062	55,089	53,648
Margins and Growth				
Revenue Growth Y/Y (%)	0.7%	0.2%	0.7%	1.4%
EBIT margin	4.7%	4.0%	4.3%	4.8%
EBIT Growth Y/Y (%)	16.0%	(14.9%)	8.8%	13.0%
EBITDA margin	23.8%	22.7%	22.6%	22.5%
EBITDA Growth Y/Y (%)	(4.1%)	(4.4%)	0.6%	1.0%
Net margin	2.3%	2.0%	2.2%	2.3%
Adj. EPS growth	0.1%	(11.7%)	6.3%	10.0%
Ratios				
Adj. tax rate	17.8%	17.8%	17.8%	17.8%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	5.5%	5.1%	6.2%	8.0%
Valuation				
FCFF yield	17.2%	45.1%	40.7%	39.6%
Dividend yield	3.8%	3.3%	3.5%	3.9%
EV/Revenue	1.1	1.0	0.9	0.9
EV/EBITDA	4.5	4.4	4.1	3.9
Adj. P/E	14.8	16.8	15.8	14.4

Summary Investment Thesis and Valuation

China Unicom (CU) is the third-largest telecom operator in China by service revenue.CU-A's YTD share price performance is the weakest among big 3 due to:1) no interim dividend announcement in 1H26 (for the first time since 2021) and 2) 1H26 net profit declined by 35% YoY due to a 19% YoY increase in employee expenses. However, CU management indicated that: 1) CU remains committed to shareholder value; we note CU didn't provide an interim dividend in 2017-20 but provided annual dividend during the full-year results announcement. Based on our calculations, if CU sustains a dividend payout ratio of 2025 level (61%), its current share price implies an 8% dividend yield in 2026E, 2) CU's personnel expenses will remain stable YoY for the full year, and the profit decline in full year 2026E should be much narrower vs 1H26 (JPMe 2026E NP to decline 13% YoY). We maintain OW on CU-A. However, we believe share outperformance will require more visibility in the full year (and 2027 onward) dividend policy, which we believe should be disclosed in the 2026 full year result announcement in 1H27.

Our Dec-27 PT of Rmb4.90 is based on 2027E DPS of Rmb0.16 and a one-year forward dividend yield of 3.2%, at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CU.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.17	0.15
Region: China	0.64	0.43
Macro:		
JPM Global Equity Sentiment	0.16	0.23
Citi Economic Surprise - EM	-0.24	-0.21
US 10 Year Yield	0.27	0.10
Quant Styles:		
Quality	0.44	0.25
Size	-0.24	-0.15
LowVol	0.23	0.11

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

Investment Thesis, Valuation and Risks

China Unicom Network - A *(Overweight; Price Target: Rmb4.90)*

Investment Thesis

China Unicom (CU) is the third-largest telecom operator in China by service revenue.CU-A's YTD share price performance is the weakest among big 3 due to:1) no interim dividend announcement in 1H26 (for the first time since 2021) and 2) 1H26 net profit declined by 35% YoY due to a 19% YoY increase in employee expenses. However, CU management indicated that: 1) CU remains committed to shareholder value; we note CU didn't provide an interim dividend in 2017-20 but provided annual dividend during the full-year results announcement. Based on our calculations, if CU sustains a dividend payout ratio of 2025 level (61%), its current share price implies an 8% dividend yield in 2026E, 2) CU's personnel expenses will remain stable YoY for the full year, and the profit decline in full year 2026E should be much narrower vs 1H26 (JPMe 2026E NP to decline 13% YoY). We maintain OW on CU-A. However, we believe share outperformance will require more visibility in the full year (and 2027 onward) dividend policy, which we believe should be disclosed in the 2026 full year result announcement in 1H27.

Valuation

Our Dec-27 PT of Rmb4.90 is based on 2027E DPS of Rmb0.16 and a one-year forward dividend yield of 3.2%, at a premium to the local market yield (SHSZ300 at 2.6%) given the relatively low earnings growth of CU.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- US investment restrictions (i.e. sanctions-related designations).
- While telco services is generally a 'staples' service, a weaker-than-expected economy could also impact consumers' willingness to spend.
- Cloud revenue growth could potentially be slower than expected if there is a lack of new development in AI services (e.g. DeepSeek in 1Q25) and weak macro could also weigh on enterprise spending on AI/cloud.

Daniel Chen
(86-21) 6106 6205
daniel.q.chen@jpmorgan.com

J.P.Morgan

China Unicom Network - A: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**389,590**	**392,223**	**393,172**	**396,050**	**401,409**
COGS	(42,466)	(42,937)	(45,516)	(47,109)	(48,523)
Gross profit	**347,124**	**349,286**	**347,656**	**348,941**	**352,886**
SG&A	(113,307)	(117,073)	(116,275)	(116,340)	(117,645)
Adj. EBITDA	**97,185**	**93,161**	**89,088**	**89,623**	**90,480**
D&A	(81,354)	(74,798)	(73,455)	(72,613)	(71,264)
Adj. EBIT	**15,831**	**18,363**	**15,633**	**17,010**	**19,216**
Net Interest	326	551	155	972	1,538
Adj. PBT	**25,093**	**25,303**	**22,319**	**23,722**	**26,082**
Tax	(4,491)	(4,515)	(3,983)	(4,233)	(4,654)
Minority Interest	(11,571)	(11,661)	(10,279)	(10,926)	(12,013)
Adj. Net Income	**9,031**	**9,127**	**8,057**	**8,563**	**9,416**
Reported EPS	0.30	0.30	0.26	0.28	0.31
Adj. EPS	**0.30**	**0.30**	**0.26**	**0.28**	**0.31**
DPS	**0.16**	**0.17**	**0.14**	**0.16**	**0.17**
Payout ratio	54.7%	56.0%	55.1%	55.9%	55.4%
Shares outstanding	30,489	30,767	30,767	30,767	30,767

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**-**	**-**	**-**	**-**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	-	-	-	-
Adj. EBITDA	**-**	**-**	**-**	**-**
D&A	-	-	-	-
Adj. EBIT	**-**	**-**	**-**	**-**
Net Interest	-	-	-	-
Adj. PBT	**-**	**-**	**-**	**-**
Tax	-	-	-	-
Minority Interest	-	-	-	-
Adj. Net Income	**-**	**-**	**-**	**-**
Reported EPS	-	-	-	-
Adj. EPS	**-**	**-**	**-**	**-**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	-	-	-	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	54,713	46,857	78,936	106,382	132,503
Accounts receivable	58,875	58,875	58,584	58,792	59,451
Inventories	2,463	2,463	2,438	2,480	2,493
Other current assets	42,757	60,806	42,354	29,753	21,061
Current assets	**158,808**	**169,001**	**182,311**	**197,406**	**215,507**
PP&E	350,609	344,874	327,630	311,249	295,686
LT investments	-	-	-	-	-
Other non current assets	163,421	157,182	152,653	146,485	139,779
Total assets	**672,837**	**671,057**	**662,595**	**655,140**	**650,973**
Short term borrowings	30,343	31,194	31,194	31,194	31,194
Payables	160,037	158,810	161,477	162,721	165,112
Other short term liabilities	75,600	71,765	71,410	71,663	72,467
Current liabilities	**265,980**	**261,769**	**264,081**	**265,578**	**268,773**
Long-term debt	2,128	3,928	3,928	3,928	3,928
Other long term liabilities	35,941	28,859	28,859	28,859	28,859
Total liabilities	**304,048**	**294,556**	**296,868**	**298,365**	**301,560**
Shareholders' equity	164,847	168,591	147,538	127,660	108,286
Minority interests	203,942	207,910	218,189	229,115	241,128
Total liabilities & equity	**672,837**	**671,057**	**662,595**	**655,140**	**650,973**
BVPS	**12.10**	**12.24**	**11.89**	**11.60**	**11.36**
y/y Growth	*2.9%*	*1.2%*	*(2.9%)*	*(2.4%)*	*(2.1%)*
Net debt/(cash)	(22,242)	(11,735)	(43,814)	(71,260)	(97,381)
Cash flow from operating activities	**91,255**	**91,411**	**108,476**	**102,219**	**100,468**
o/w Depreciation & amortization	77,391	74,974	73,455	72,613	71,264
o/w Changes in working capital	(9,916)	(17,996)	21,080	13,849	11,214
Cash flow from investing activities	**(84,662)**	**(69,654)**	**(58,576)**	**(57,621)**	**(56,846)**
o/w Capital expenditure	(75,742)	(67,641)	(47,287)	(46,332)	(45,557)
as % of sales	*19.4%*	*17.2%*	*12.0%*	*11.7%*	*11.3%*
Cash flow from financing activities	**(25,909)**	**(25,001)**	**(25,154)**	**(26,130)**	**(27,327)**
o/w Dividends paid	(12,916)	(14,319)	(12,444)	(13,421)	(14,617)
o/w Net debt issued/(repaid)	335	2,012	0	0	0
Net change in cash	**(4,103)**	**(7,856)**	**32,079**	**27,446**	**26,121**
Adj. Free cash flow to firm	**15,245**	**23,317**	**61,062**	**55,089**	**53,648**
y/y Growth	*(38.4%)*	*52.9%*	*161.9%*	*(9.8%)*	*(2.6%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	89.1%	89.1%	88.4%	88.1%	87.9%
EBITDA margin	24.9%	23.8%	22.7%	22.6%	22.5%
EBIT margin	4.1%	4.7%	4.0%	4.3%	4.8%
Net profit margin	2.3%	2.3%	2.0%	2.2%	2.3%
ROE	5.6%	5.5%	5.1%	6.2%	8.0%
ROA	1.4%	1.4%	1.2%	1.3%	1.4%
ROCE	6.7%	7.5%	6.6%	8.1%	10.3%
SG&A/Sales	29.1%	29.8%	29.6%	29.4%	29.3%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	14.9	14.8	16.8	15.8	14.4
P/BV (x)	0.4	0.4	0.4	0.4	0.4
EV/EBITDA (x)	4.2	4.5	4.4	4.1	3.9
Dividend Yield	3.7%	3.8%	3.3%	3.5%	3.9%
Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	159.1%	2366.0%	(6140.7%)	1202.9%	958.5%
Revenue y/y Growth	4.6%	0.7%	0.2%	0.7%	1.4%
EBITDA y/y Growth	(1.1%)	(4.1%)	(4.4%)	0.6%	1.0%
Tax rate	17.9%	17.8%	17.8%	17.8%	17.8%
Adj. Net Income y/y Growth	10.5%	1.1%	(11.7%)	6.3%	10.0%
EPS y/y Growth	10.4%	0.1%	(11.7%)	6.3%	10.0%
DPS y/y Growth	19.5%	2.5%	(13.1%)	7.9%	8.9%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an "AC" on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an "AC" on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst's personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst's analysis was made in good faith and that the views reflect the Research Analyst's own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting https://www.jpmm.com/research/disclosures, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:
J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, https://www.jpmorganmarkets.com.

Coverage Universe: Chen, Daniel : Bilibili (9626.HK), Bilibili (BILI) (BILI), China Mobile - A (600941.SS), China Mobile - H (0941.HK), China Telecom - A (601728.SS), China Telecom - H (0728.HK), China Unicom - H (0762.HK), China Unicom Network - A (600050.SS), Huya (HUYA), JOYY Inc (JOYY), KE Holdings (BEKE), KE Holdings - H (2423.HK), Kanzhun Ltd - H (2076.HK), Kanzhun Ltd ADR (BZ), Kingsoft Corporation Limited (3888) (3888.HK), Kuaishou Technology (1024.HK), NetEase (9999.HK), NetEase (NTES) (NTES), XD Inc. (2400.HK), iQiyi (IQ)

J.P. Morgan Equity Research Ratings Distribution, as of October 03, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	35%	12%
IB clients**	83%	81%	72%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	93%	88%

*Please note that the percentages may not add to 100% because of rounding.
**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.
For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at http://www.jpmorganmarkets.com, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, http://www.jpmorganmarkets.com. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:
A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of http://www.jpmorganmarkets.com where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to UK MIFID Research Unbundling exemption for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Digital assets, which may also be referred to as virtual or crypto assets or crypto currencies (e.g. bitcoin), discussed in this research report are subject to a rapidly changing regulatory landscape. The application of relevant laws in respect of such assets may be unsettled, and the legality of any digital asset investment may be unclear. Prior to making any investment decision regarding any digital asset, investors should seek their own legal advice and be aware of any legal considerations regarding the purchase, holding or selling of such an investment. For relevant regulatory advisories on digital assets, including bitcoin and ethereum, please see https://www.jpmorgan.com/disclosures/cryptoasset-disclosure.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit https://www.theocc.com/components/docs/riskstoc.pdf for a copy of the Option Clearing Corporation's

Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:
Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).
Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting https://www.jpmm.com/research/disclosures. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: J.P. Morgan Australia - Research Independence Policy.
Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.
Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.
Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.
China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.
Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.
Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.
European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für tungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any

investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - 68724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: http://www.jpmipl.com. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasadh K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit Terms and Conditions and Most Important Terms and Conditions (MITC). The annual Compliance audit report is available at http://www.jpmipl.com/#research.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Nigeria: J.P. Morgan Chase Representative Office (Nigeria) Limited is regulated by the Central Bank of Nigeria.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 070/08/2026 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms

Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumphini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPMML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: J.P. Morgan EMEA - Research Independence Policy.

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: https://www.jpmorgan.com/disclosures/email

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to msci.com/disclaimer

Any mentions of third-party trademarks, brand names, products, and services are for referential purposes only and any mention thereof is not meant to imply any sponsorship, endorsement, or affiliation.

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised October 03, 2026.

Copyright 2026 J.P. Morgan Securities (China) Company Limited. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.